

Adopting the OECD Regional Attractiveness Approach to Enhance the Capacity of Local and Regional Governments in Latvia



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Foreword

Latvia's regions face a defining moment. Demographic pressures, geopolitical uncertainty along its eastern border, and the structural concentration of economic activity around Riga are shaping the conditions under which all of Latvia's territories must compete to attract and retain investment, talent and residents. Meeting these challenges requires more than sector-by-sector policy responses – it demands a systemic, evidence-based approach to regional development that reflects the distinct assets and constraints of individual places.

This report responds to that need. At the request of Latvia's Ministry of Smart Administration and Regional Development (VARAM), the OECD has applied its regional attractiveness framework at the municipal level for the first time in any OECD country – generating internationally comparable, multidimensional diagnostics for all of Latvia's municipalities and planning regions. The analysis reveals both the breadth of Latvia's untapped territorial potential and the governance gaps that limit its conversion into stronger economic outcomes. It identifies practical ways in which attractiveness indicators can support Latvia's regional development policy cycle, from strategic diagnosis through to investment programming, inter-municipal co-operation, and monitoring and evaluation.

The report is intended to serve as a practical resource for national and subnational policymakers across Latvia. The findings and policy considerations presented here are grounded in extensive stakeholder engagement – including workshops with most of Latvia's 42 municipalities and interviews across all five planning regions – and are intended to support more targeted, coherent and place-sensitive regional development in the years ahead.

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Executive Summary

Leveraging the OECD regional attractiveness framework to guide regional policy in Latvia

The OECD regional attractiveness framework provides Latvia with a comprehensive, multidimensional tool to better understand regional dynamics and guide place-based policy action. By combining internationally comparable indicators across six domains – ranging from economic performance and connectivity to well-being and environmental quality – the framework moves beyond traditional metrics to capture the complex drivers of competitiveness, resilience, and quality of life.

Across the six domains of the OECD regional attractiveness framework, several recurring territorial patterns emerge in Latvia. The framework's multidimensional lens is particularly valuable because it surfaces dynamics that conventional indicators – such as GDP, employment, population – often obscure. It reveals, for instance, that some of Latvia's most economically marginal municipalities are also recording the fastest growth in housing prices, suggesting rising affordability pressures beyond the metropolitan core. It shows that territories with exceptional cultural and natural assets – rich museum and theatre infrastructure, near-total renewable electricity generation, and forest cover far exceeding EU norms – are nonetheless attracting only a fraction of the visitor numbers that comparable EU territories generate. And it reveals that connectivity gaps, both digital and physical, are far more acute and geographically widespread than regional averages suggest, with travel times to schools and hospitals in many municipalities running at several times the EU median.

Three broad patterns stand out. First, economic attractiveness is heavily concentrated, with strong productivity and GDP per capita confined largely to Riga and a small number of surrounding municipalities, while most other territories record outcomes well below EU benchmarks – Latgale records some of the starkest disparities on the continent. Second, natural and cultural assets are a genuine and broadly shared strength but are systematically failing to translate into stronger economic outcomes, whether in tourism, green economic activity, or talent attraction. Third, connectedness – both digital and physical – is among the most widespread constraints, limiting the ability of territories to leverage their assets and access opportunities regardless of where they sit in the national economic hierarchy.

Five use cases developed in Chapter 2 demonstrate how the OECD regional attractiveness framework can help policymakers address these challenges across the full regional development policy cycle:

- **Identifying territorial strengths and trade-offs** shows how multidimensional indicators can strengthen territorial diagnosis and prioritisation – helping national and subnational policymakers in Latvia identify local strengths, structural constraints, and trade-offs across policy objectives, including in the design of development planning documents for territorial development.
- **Detecting untapped potential and structural mismatches** illustrates how the OECD framework can reveal where territorial assets are not translating into economic outcomes – for instance where strong natural or cultural assets are not generating tourism demand, or where proximity to Riga is not producing expected economic spillovers – pointing to where place-based interventions could unlock underused potential across Latvia.

- **Supporting territorial co-operation** exhibits how comparable municipal-level data can surface complementarities between neighbouring territories in Latvia, supporting the identification and design of inter-municipal co-operation arrangements and cross-border initiatives, including under programmes such as Interreg.
- **Grouping territories facing similar challenges** shows how mapping families of places in Latvia with comparable attractiveness profiles – such as eastern border municipalities, rural areas, or municipalities located around large cities – can support more differentiated policy instruments and improve co-ordination across ministries designing programmes for specific types of places.
- **Strengthening monitoring and evaluation** examines how the OECD regional attractiveness framework can provide a consistent, internationally benchmarked evidence base to assess whether reforms and investments under the Administrative Territorial Reform, EU Cohesion Policy, and the development planning documents for territorial development are improving competitiveness, service accessibility, and quality of life over time in Latvia.

Realising the OECD framework's potential requires that it be embedded systematically into the policy processes through which regional development priorities are set, investments allocated, and outcomes evaluated. The national government would benefit from integrating attractiveness indicators into development planning documents for territorial development, EU programme appraisal criteria for the monitoring frameworks tracking progress. Planning regions and municipalities, co-ordinated by VARAM, can use the multidimensional diagnostics as an evidence base for regional investment priorities, while VARAM can use the territorial lens to ground its collaboration with other ministries – demonstrating how attractiveness disparities across places enable a more targeted investment approach. Building the interpretive capacity of planning regions and municipalities to use this evidence in their planning and investment decisions will be essential to ensuring the framework delivers results in practice. Ireland's Regional Development Monitor – which links territorial indicators directly to statutory regional planning obligations – offers a practical model for how this kind of institutionalisation can work.

Multi-level governance for regional development in Latvia

Latvia has established important foundations that support the multi-level governance of regional development. The 2021 Administrative-Territorial Reform has produced larger, more financially viable local governments with an eye on more efficient and effective public service delivery and investment. These local governments operate within a robust legislative and strategic planning framework that establishes clear responsibilities and provides a shared, multi-level roadmap for territorial action. Latvia also benefits from an intermediate planning region tier that plays an important role in co-ordinating territorial development efforts at a larger scale, and local and regional government associations that provide their members with clear avenues for multi-level dialogue on territorial issues.

There are, however, opportunities to further strengthen these foundations. The economic concentration, connectivity gaps, and service access disparities identified through the attractiveness framework are not only spatial outcomes. They are also symptoms of governance arrangements that could be further strengthened to better co-ordinate investment across sectors and among levels of government, and to tailor policies and programmes to the differentiated needs of individual territories. At the national level, regional development could be more systematically embedded as a cross-sectoral priority. At the subnational level, more structured engagement between planning regions, local government associations, and the full range of relevant line ministries would help ensure regionally identified priorities are better reflected in national investment and policy decisions. Specifically at the local level, strengthening the evidence base for inter-municipal co-operation could help municipalities better identify where collaborative approaches to service delivery might generate additional benefits, particularly given Latvia's sustained demographic pressures. Latvia's subnational governments have a solid financial and human resource base, and targeted steps to further strengthen it – addressing subnational data gaps and building specific performance measurement skills – would enhance the ability of planning regions and municipalities to lead

regional development in their territories. The governance analysis underpinning these observations is developed in Chapter 3.

The following policy considerations draw from the analysis in Chapters 2 and 3, conducted on the basis of stakeholder interviews across Latvia's five regions, workshops with most of Latvia's 42 municipalities, and desk research and data analysis.

1. Strengthening mechanisms for the inter-ministerial and multi-level co-ordination of regional development

There is scope to further strengthen the co-ordination mechanisms through which national and subnational actors align their priorities, actions and resources for regional development. Currently, regional development is typically regarded as a sectoral rather than a cross-sectoral priority by line ministries. Moreover, the ability of subnational actors to engage national decision makers on territorial development issues is often limited to VARAM, notwithstanding the important role of other line ministries in supporting the achievement of territorial development objectives. To address this, the government could consider establishing a thematic cabinet committee for regional development – drawing on the precedent of committees already in place for energy, environment, and digital modernisation – to provide a dedicated forum that encourages line ministries to systematically incorporate a territorial lens into their sectoral policies and programmes. In parallel, creating a dedicated multi-level co-ordination body that brings together relevant line ministries alongside planning regions and local government associations would provide a structured forum through which territorial development needs can more systematically inform national-level investment and policy decisions. This, in turn, can help reduce the risk of place-blind policymaking across levels of government.

2. Creating an evidence base to identify potential inter-municipal co-operation needs

Latvian legislation establishes a clear legal framework for inter-municipal co-operation, and collaborative initiatives are already underway in areas such as waste management, transport, and social care. However, additional data are needed to help municipalities identify where additional collaborative approaches to service delivery might improve territorial well-being. This is particularly pertinent given the sustained demographic pressures facing many municipalities – particularly rural and border ones. One way to do this would be to improve access to standardised, comparable data on the quality and accessibility of municipal services, published through a single accessible portal, and establish a regional-level stock-taking on inter-municipal co-operation arrangements (including their sectoral scope and territorial coverage) and good practices across jurisdictions. This would help municipalities identify service delivery gaps, learn from existing co-operative experience, and make more informed decisions about whether and how to pursue arrangements of their own.

3. Further strengthening subnational data availability and capacity-building support for planning regions

Latvia's planning regions have a solid human and technical resource base and make an important contribution across their mandates. There are, however, areas where this base could be further strengthened. On data, embedding the OECD's regional attractiveness indicators into existing national territorial data portals – particularly RAIM – would equip planning regions and municipalities with a richer, internationally benchmarked evidence base for regional development programming, monitoring and evaluation. On capacity, VARAM could expand the targeted capacity building support it already provides to planning regions. This could include ensuring that any diagnostic survey explicitly considers areas identified in recent research as warranting attention – including monitoring and evaluation, investment planning and promotion, and evidence-based territorial economic analysis – and developing multi-year training programmes with clearly defined learning outcomes in partnership with relevant providers.

1 Introduction

Objectives and approach: from territorial diagnosis to policy action

This report forms part of a broader OECD project to support Latvia in building the evidence base and institutional capacity needed for more effective, place-based regional development policy. It builds on the OECD's regional attractiveness framework, previously applied in a case study of the Latgale region (OECD, 2025^[1]), and extends that approach across Latvia's remaining planning regions and all 42 municipalities. The report pursues three interconnected objectives.

The first is to provide a regionally nuanced and granular picture of territorial attractiveness across Latvia. By extending the OECD regional attractiveness framework to cover all five planning regions – Riga, Kurzeme, Latgale, Vidzeme, and Zemgale – and introducing a municipality-level extension covering all 42 local governments, the report enables meaningful analysis and comparison at a scale that regional averages typically obscure. This two-tiered approach serves multiple levels of government. At the regional and local level, it equips planning regions and municipalities with practical, place-based insights – helping to identify territorial strengths, disparities, and complementarities between places that could support inter-municipal co-operation and more co-ordinated planning. At the national level, the OECD framework provides the Ministry of Smart Administration and Regional Development (VARAM) and relevant line ministries with a systematic, comparable evidence base for assessing territorial differentiation across Latvia's regions and municipalities – supporting more spatially informed decisions on policy design, resource allocation, and the monitoring of regional development outcomes. The compasses and associated data dashboards have been provided to Latvia's local and regional governments and to VARAM as an addendum to this report and formed the basis for a series of capacity-building workshops delivered directly with municipalities to support their practical use of the framework.

The second objective is to support the integration of the OECD regional attractiveness framework into Latvia's policy monitoring infrastructure and to build capacity among national, regional, and local stakeholders to use evidence effectively across the policy cycle. This means going beyond the production of indicators to embed them in the institutions and platforms through which regional development policy is designed, tracked, and evaluated. In practice, this includes mapping relevant national data sources, recommending the integration of attractiveness indicators into existing digital platforms such as raim.gov.lv, and delivering an interactive data dashboard featuring attractiveness compasses for each locality. Capacity-building workshops were organised with local policymakers to support evidence-informed planning in line with the objectives of Latvia's Administrative Territorial Reform, and a technical report was provided to VARAM covering data sources, computations, limitations, and practical guidance for use of the indicators. The codebase for integrating the tool into local platforms has also been delivered. Guidance on using the OECD regional attractiveness framework in a Latvian policy context is set out in Chapter 2.

The third objective is to strengthen the multi-level governance conditions that enable regions and municipalities to translate territorial analysis into effective policy action. A diagnostic tool and an integrated monitoring platform are only as effective as the governance framework through which their insights are

acted upon. This objective therefore encompasses a policy analysis of Latvia's multi-level governance arrangements, with a focus on the conditions for designing, monitoring, and implementing attractiveness policies across levels of government. It includes an examination of the potential for enhanced inter-municipal co-operation, further leveraging the role of planning regions as co-ordinators of programmes, policies, and investments that cut across local administrative boundaries, as well as comparative analysis on strengthening subnational competences in areas such as investment attraction, service delivery, and policy monitoring and evaluation. This governance dimension is addressed in Chapter 3.

References

- OECD (2025), "Rethinking Regional Attractiveness in the Latvian region of Latgale", *OECD Regional Development Papers*, No. 152, OECD Publishing, Paris, <https://doi.org/10.1787/b0425443-en>. [1]

2 Leveraging the regional attractiveness framework to design local and regional development strategies

This chapter examines how the regional attractiveness framework strengthens evidence-based territorial policymaking in Latvia. The chapter presents five practical use cases demonstrating how attractiveness indicators can support the full policy cycle. These cover: identifying territorial strengths and policy trade-offs; detecting untapped assets and structural mismatches; revealing opportunities for inter-municipal co-operation; grouping territories facing shared challenges to design common solutions; and monitoring regional progress over time. Applied across Latvia's municipalities, the framework surfaces persistent gaps in economic performance, connectivity and service accessibility alongside underutilised natural, cultural and human capital. The chapter concludes that realising the framework's potential requires its systematic integration into strategy design, investment programming and evaluation - moving beyond ad hoc diagnostics toward a genuine instrument for place-based policy.

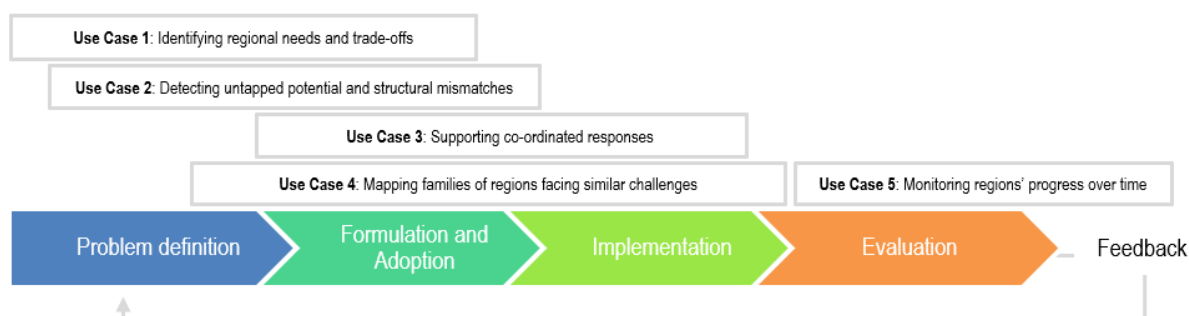
Introduction

Latvia's territorial development policy can be strengthened through a more systematic use of multidimensional, granular data. Conventional indicators such as GDP, productivity or employment remain of key importance, but they are often insufficient to fully capture the wider set of factors that influence a territory's capacity to attract and retain investment, talent and visitors, shaping their competitiveness (OECD, 2025^[1]). For instance, knowledge hubs – such as universities – and transport infrastructure can play an important role in attracting foreign direct investment (FDI), while talent attraction and retention are influenced by factors such as housing affordability and the quality of broadband connectivity (OECD, 2023^[2]). In this context, the OECD regional attractiveness framework helps policymakers better understand the multidimensional strengths and constraints of Latvia's territories. More details on the framework are presented in (Box 2.1).

Latvia is the first OECD country to adopt municipal-level attractiveness indicators to reinforce local development policy. While the OECD regional attractiveness framework was originally developed at the regional level, analysing development trajectories at a granular scale helps to uncover territorial disparities, local assets and place-specific constraints that can remain obfuscated by regional averages. It can also help policymakers design more precise interventions, tailor public goods and services to local needs, and support more balanced growth across localities (Seunga Ryu et al., 2024^[3]).

This chapter examines how the OECD regional attractiveness framework can promote more effective local policymaking in Latvia. It is structured through five practical use cases on how attractiveness indicators support the policy cycle (see Figure 2.1): identifying territorial strengths and trade-offs; 2) detecting untapped potential and structural mismatches; 3) supporting territorial co-operation; 4) grouping territories facing similar challenges for more targeted interventions; and 5) strengthening capacity for monitoring attractiveness outcomes over time. In doing so, it shows how multidimensional indicators can serve not only as a diagnostic exercise, but also as a practical instrument for strategic planning, prioritisation and evidence-based territorial development.

Figure 2.1. Use of attractiveness indicators across the regional development policy cycle

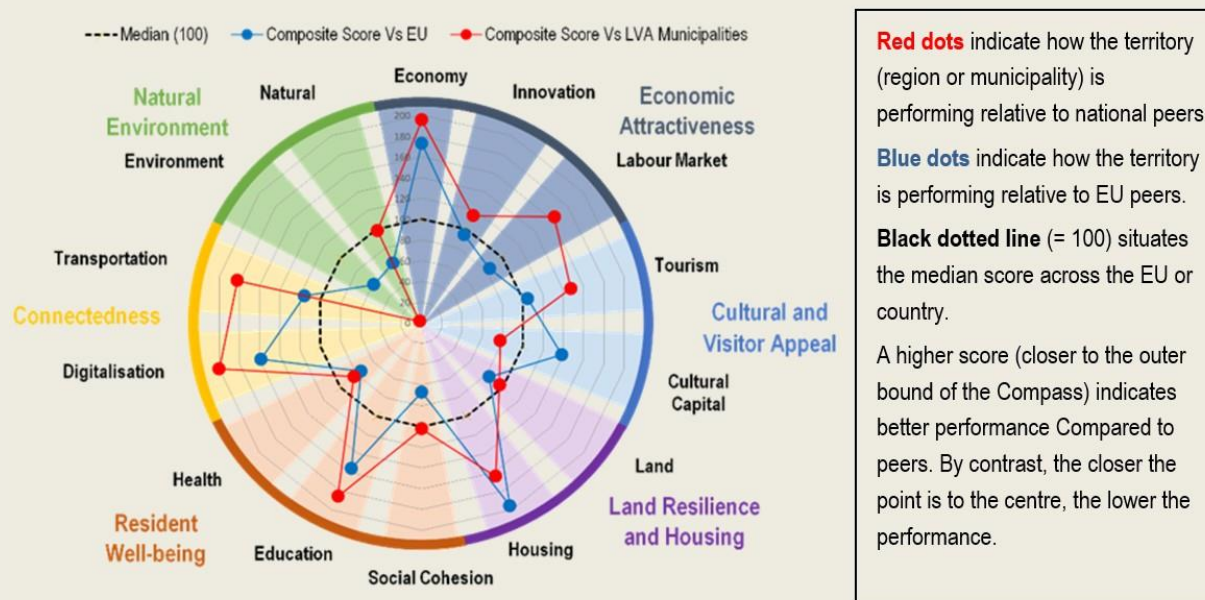


Box 2.1. Developing the attractiveness framework for Latvian regions and municipalities

The OECD regional attractiveness framework¹ provides a comprehensive, systemic lens to help policymakers understand a territory's competitive position and resilience. It was developed in response to a changing context in which regions face transitions linked to global value chain reconfiguration, demographic change, climate pressures, technological transformation and geopolitical uncertainty, while increasingly competing to strengthen their attractiveness to investment, talent and visitors to seize emerging opportunities. In this context, the framework offers a structured, internationally comparable and multidimensional tool to help policymakers identify development priorities, and design and monitor targeted interventions to enhance local resilience, rather than relying on one-size-fits-all solutions. The framework includes around 50 indicators at the TL3 level and more than 60 indicators at the TL2 level.

Indicators are grouped into fourteen dimensions across six multidimensional domains. The domains of attractiveness incorporate an array of indicators essential to territorial competitiveness and well-being: economic performance, cultural and visitor appeal, land resilience and housing, resident well-being, connectedness, and natural environment, each capturing a distinct dimension of what makes a territory attractive to investors, talent, and residents. Figure 2.2 illustrates the application of the framework through an attractiveness compass that situates territorial performance relative to national and EU peers.

Figure 2.2. Attractiveness Compass of Riga Planning Region



Source: Own elaboration based on OECD (2023[2]), using the indicators presented in Annex A.

Use case #1: Identifying regional policy needs and trade-offs across Latvian municipalities

The OECD regional attractiveness framework can help policymakers identify territorial development needs while understanding the trade-offs that often arise across policy objectives. As development trajectories are shaped by localised assets and challenges, robust territorial data are essential to identify the drivers of underperformance, uncover underused local assets and design differentiated interventions that promote sustainable territorial growth while reinforcing national competitiveness (OECD, 2025^[4]). In this context, the framework's multidimensional perspective is valuable not only for diagnosing key strengths and constraints relevant to place-based policy, but also for assessing how interventions in one area may generate effects elsewhere. For example, investments in connectivity may strengthen accessibility and economic opportunities while increasing pressures on land use or ecosystems; tourism promotion may support local income and jobs while creating strains on housing affordability, public services or the environment; and growth strategies concentrated in dynamic urban areas may risk widening disparities with rural municipalities facing demographic and economic decline.

Several strengths emerge when analysing multidimensional indicators in Latvia, particularly in natural capital, renewable energy, and cultural amenities. Across regions, strong natural capital stands out as a shared asset, reflected in high and expanding forest cover, with all the municipalities performing better than the EU median in these indicators (Figure 2.3). Many territories in Latvia also perform favourably in renewable electricity generation and show comparatively low exposure to wildfire risk. In parallel, a number of municipalities demonstrate strong tourism potential, supported by a high density of museums and galleries, theatres, and strong business activity in the creative sector (Figure 2.3), although this has not been matched by tourism attraction. These characteristics provide an important foundation for sustainable development strategies centred on quality of life, green economies, and place-based tourism. This picture can be further complemented by embedding sustainable tourism indicators – an area in which the OECD is working to support member countries (OECD, Forthcoming, 2026^[5]).

At the same time, many Latvian municipalities face constraints that limit their ability to translate local assets into stronger economic outcomes. Most of the municipalities exhibit underperforming economic performance relative to EU peers, reflected by lower GDP and productivity (Figure 2.3), particularly outside the main urban centres. Accessibility constraints also emerge frequently, including lower road quality, sparse transport networks, weaker active mobility infrastructure, and underperforming digital connectivity (Figure 2.3). In addition, tertiary educational attainment remains low in many territories, pointing to difficulties to tap in emerging high-value industries (Figure 2.3). Lastly, a number of indicators exhibit high dispersion, reflecting diverging local trajectories, such as measures of business dynamism, tourism performance, housing, and health. Together, these challenges reduce the capacity of municipalities to attract investors, talent and visitors to promote local economic growth and well-being.

In particular, regional-level evidence points to complex housing challenges. The European Commission (2026^[6]) highlights that housing markets in Latvia remain underdeveloped outside major economic centres, alongside an outdated housing stock that reflects decades of underinvestment, ageing multi-apartment buildings, and limited renovation and energy-efficiency improvements. This is consistent with regional data showing that the share of dwellings built before 1980 exceeds the EU regional average (61.0%) in all five Latvian regions, particularly in Vidzeme (75.9%) and Kurzeme (75.0%). Moreover, Latvia's position as the EU country with the second-highest overcrowding rate provides a supplementary narrative to the high vacancy levels: four of the five Latvian regions record shares of unoccupied dwellings well above the EU regional average (18.9%), particularly Latgale (30.2%), Kurzeme (28.7%) and Vidzeme (28.7%). In this context, the municipal-level indicator used in the attractiveness approach, the House Price Index that captures housing price dynamics, is information that should be considered alongside regional evidence on housing quality, overcrowding, deprivation, vacancy and dwelling age.

Figure 2.3. Number of Latvian municipalities by deviation from the EU median

Each cell shows how many municipalities fall within each percentage-deviation range for a given indicator.

Cell values: number of municipalities	< -100%	-100% to -50%	Deviation from EU median		50% to 100%	100%+
			-50% to 0%	0% to 50%		
Economy						
GDP per capita (\$, constant PPP)	0	14	25	1	2	0
GVA per capita (\$, constant PPP)	0	15	24	1	2	0
Innovation and Entrepreneurship						
Enterprise creation rate (%)	8	7	11	6	6	4
Labour market						
Unemployment rate (15+)*	0	0	16	16	7	3
Youth unemployment rate (15-24)*	0	0	8	22	9	3
Employment rate (15+)	0	0	42	0	0	0
Tourism						
Overnight stays by foreign tourists (%)	0	7	15	8	9	3
Overnight stays by tourists (per 1k pop)	0	32	9	0	1	0
Tourism info centers (per 1k pop)	0	10	7	4	1	20
Cultural capital						
Museums and galleries (per 1k pop)	0	3	6	7	7	19
Theatres (per 1k pop)	0	8	3	7	3	21
Enterprise creation creative sector (%)	5	2	13	6	10	6
Land						
Built area exposed to river flooding (%)*	0	12	4	5	4	17
Land burned (%)*	0	34	5	2	0	1
Change in land soil moisture (%)*	0	0	0	0	0	42
Housing						
House Price Index (Base 100 = 2021)*	0	0	14	27	1	0
Increase of HPI from previous year (%)*	10	7	6	9	2	8
Social cohesion						
Community centers (per 1k pop)	0	14	13	11	3	1
Voter turnout in general elections (%)	0	0	30	12	0	0
Education						
Travel time to school (mins)*	0	0	7	11	21	3
Population with tertiary education (%)	0	0	35	7	0	0
Health						
Air pollution (µg/m³)*	0	0	27	15	0	0
Travel time to healthcare (minutes)*	0	1	8	15	15	3
Digitalisation						
Download speed (kbps)	0	13	24	5	0	0
Transportation						
Paved roads (%)	0	13	29	0	0	0
Road density (km per km²)	0	29	5	1	1	6
Cycleway density (km per km²)	0	25	3	2	1	11
Electric vehicles (%)	0	35	6	1	0	0
Environment						
Renewable electricity generation (%)	0	1	0	0	1	40
Additional cooling degree days (compared to 1981-2010)*	0	2	40	0	0	0
Natural capital						
Tree cover area change 2004-2019 (%)	0	0	0	1	1	40
Tree cover rate (%)	0	0	0	0	7	35
Share of protected areas (%)	0	27	9	3	0	3

Note: For indicators marked with an asterisk, higher values are interpreted as having a negative impact, either due to the characteristics of the variable or, in the case of soil moisture only, because the EU median is negative. Colours are therefore reversed: blue indicates values below the EU median, while red indicates values above the EU median. Values below -100% correspond to indicators with negative values where the EU median is positive.

Source: Own elaboration based on OECD (2023[2]), using the indicators presented in Annex A.

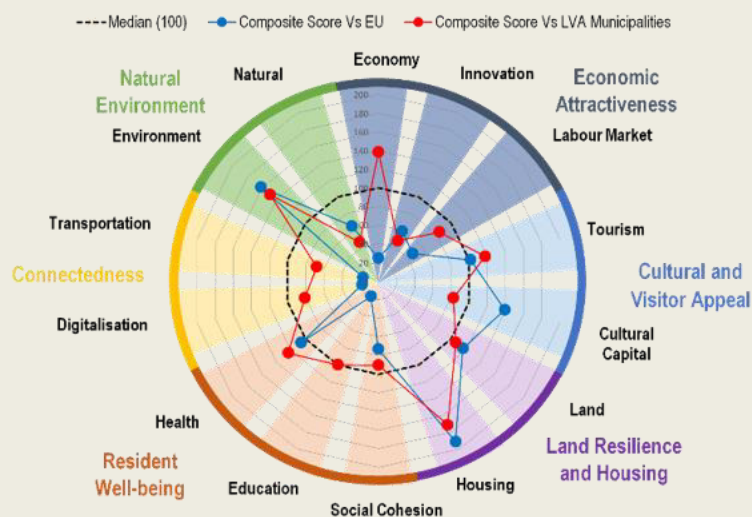
Trade-offs between attractiveness dimensions should be considered when formulating development policies. As shown in Box 2.2, Saldus municipality overperforms EU peers in environmental and cultural dimensions. However, these strengths are accompanied by challenges in connectivity and economic performance, including relatively low digital infrastructure quality and limited transport accessibility. These constraints limit the municipality's ability to fully leverage its assets for talent and tourism attraction. In this context, investments in physical connectivity could improve accessibility to public services, while digital infrastructure has been recognised as a driver of talent attraction (OECD, 2023^[2]). These factors have also been robustly shown to support investment attraction, which is needed to revitalise the underperforming labour market (Khadaroo and Seetanah, 2008^[7]; OECD, 2023^[2]). At the same time, policies promoting sustainable tourism could help translate environmental and cultural strengths into local value creation and strengthen linkages with other economic sectors (Romão and Neuts, 2017^[8]).

More broadly, effective territorial development requires balancing growth objectives with the preservation of the assets on which long-term attractiveness depends. In the case of Saldus, ensuring that infrastructure development is aligned with environmental protection and cultural heritage objectives remains critical to preserving the assets that underpin its attractiveness. More broadly, the case of Saldus illustrates how multidimensional territorial information can help policymakers move beyond single headline indicators to understand how domains are inter-linked. This type of evidence is essential to diagnose local development needs, identify policy trade-offs, and design interventions tailored to place-specific assets and bottlenecks (OECD, 2025^[4]; JRC, 2022^[9]). In doing so, it can help municipalities better translate existing strengths into more inclusive and sustainable growth, while contributing to stronger national competitiveness.

Box 2.2. Identifying territorial strengths, constraints and policy trade-offs: The case of Saldus Municipality

Saldus municipality performs strongly in environmental and cultural dimensions, with a tree cover rate of 67% (EU median of 32%) and strong performance in cultural capital indicators when compared to EU peers (Figure 2.4). Together, these assets contribute to the municipality's potential to attract visitors and residents seeking high environmental quality and cultural amenities. However, areas of underperformance are observed in its connectedness and economy. Digital download speeds (71 Mbps) and the share of paved roads (52%) are well below EU medians, while both GDP per capita and GVA per capita reach about 65% of EU levels. At the same time, unemployment is more than 1.5 times the EU figure. These aggregate challenges, however, vary across the municipal territory: for instance, while Saldus municipality benefits from good physical accessibility due to its location on the A9 national road connecting Riga and Liepāja, rural areas may face more limited local road quality, public transport frequency and access to services. Taken together, these gaps present a barrier to the municipality's ability to fully leverage its assets for economic development, tourism and talent attraction.

Addressing these challenges requires balanced interventions that strengthen local economic opportunities while preserving the environmental and cultural assets that underpin the municipality's attractiveness. Targeted investments in areas underperforming in digital and transport connectivity could help support tourism development and facilitate remote work opportunities. At the same time, policies promoting sustainable tourism and nature-based economic entrepreneurship could help translate the municipality's natural capital and cultural heritage into new sources of economic dynamism. Infrastructure investments should therefore be designed in line with sustainable land-use planning and environmental protection objectives, for example by prioritising active mobility infrastructure, safeguarding key landscapes and aligning housing development with spatial planning strategies that protect forest ecosystems and cultural sites. Complementary measures, such as incentives to attract remote workers and creative industries, could further strengthen the local economy while preserving Saldus' attractiveness drivers.

Figure 2.4. Saldus Attractiveness Compass

Source: Own elaboration based on OECD (2023[2]), using the indicators presented in Annex A.

Use case #2: Identifying untapped potential and uneven performance across attractiveness dimensions

Place-based policies can help unlock latent territorial assets by identifying, mobilising and leveraging local potential in ways that reflect each territory's specific conditions, strengths and constraints (Rodriguez-Pose and Wilkie, 2016^[10]; OECD, 2011^[11]). Achieving this requires a robust understanding of local economic dynamics and territorial assets in place, including how different dimensions of attractiveness interact. In practice, a territory's attractiveness is rarely uniform, as strong performance in one area often coexists with underperformance in another. Thus, the OECD framework helps policymakers not only to identify strengths and challenges, but also to detect mismatches that may reveal structural barriers preventing local assets from translating into stronger economic outcomes. For example, a region with high innovation capacity but low productivity, or with significant natural and cultural assets but limited tourism performance, may point to local barriers that better-targeted policies could help address, thereby enabling local assets to translate into greater economic value.

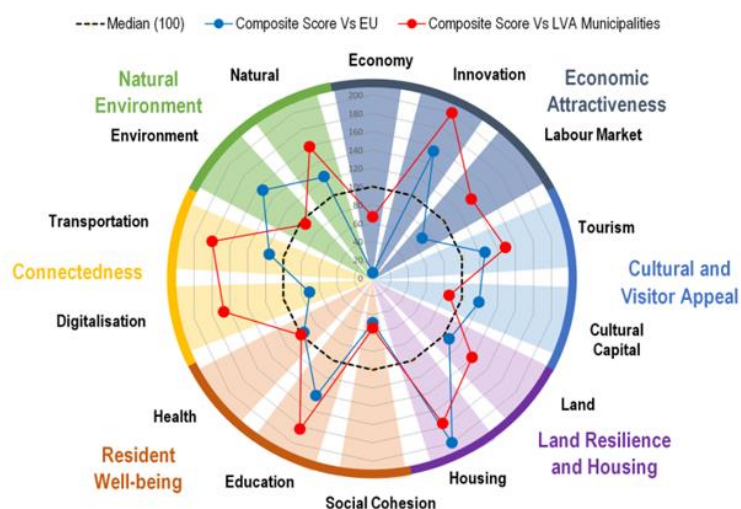
A common pattern in Latvia is the presence of strong natural and cultural assets that are not yet fully converted into tourism demand and wider local value. This is particularly important for regions with more limited economic performance, as OECD evidence indicates that tourism can be an important driver of economic development, contributing directly to GDP, services exports, employment and business activity (OECD, 2024^[12])². For example, Latgale Planning Region and its constituent municipalities combine extensive forests, lakes, protected areas and cultural infrastructure with relatively low appeal to visitors, measured by reduced overnight stays and low foreign visitor shares. A second example concerns housing advantages that are not fully converted into population attraction. Municipalities within Zemgale Planning Region, such as Bauska, offer relatively good environmental conditions and lower housing pressures than national and EU peers, yet face challenges to strengthen local labour markets and retain talent, with the region recording negative net inter-regional migration in each year of the last ten of available data, 2015–2024 (OECD, 2026^[13]). A third recurring pattern is where proximity to metropolitan markets is not fully reflected in local economic dynamism. Several municipalities surrounding Riga benefit from access to the capital's labour market and infrastructure but still record uneven economic outcomes. Finally, some

territories possess strong renewable energy capacity and natural resources without a corresponding concentration of higher value-added green economic activity.

Jūrmala State City, located in the Riga planning region, shows contradictory results in regional education, innovation and productivity outcomes (Figure 2.5). The municipality performs strongly in indicators related to human capital, with 40% of its population holding tertiary education, well above the EU median (35%) and among the highest shares in Latvia. It also shows very strong performance in entrepreneurship, with an enterprise creation rate of 5%, ranking first nationally, suggesting a dynamic local business environment. In addition, Jūrmala benefits from strong tourism activity and relatively good connectivity, reflecting its proximity to Riga and its position as one of Latvia's main tourism destinations. However, these favourable conditions coexist with relatively limited economic performance, as both GDP per capita and GVA per worker remain well below EU benchmarks. Two dynamics likely explain this gap: much of Jūrmala's educated and entrepreneurial population may be contributing their economic input in Riga rather than locally, reflecting the city's functional integration into the wider metropolitan area. The local economy itself is concentrated in tourism and hospitality – sectors that tend to generate lower productivity and value-added than the knowledge-intensive industries that Jūrmala's human capital profile could otherwise generate.

Identifying these mismatches helps policymakers to understand the structural barriers shaping local development outcomes. In the case of Jūrmala and other non-metropolitan areas, this implies strengthening metropolitan and peripheral linkages so that municipalities can better capture spillovers from nearby growth centres, including access to jobs, innovation ecosystems, consumer markets and specialised services (OECD, 2019^[14]; Marshallian, Chan and Bournisien de Valmont, 2023^[15]). Specific strategies include aligning fiscal incentives with partnership goals, ensuring that co-ordination incentives are embedded in spatial planning legislation, and creating legal partnership mechanisms such as shared service agreements (OECD, 2019^[14]). Moreover, promoting innovation in peripheral areas is essential to tap into localised assets, particularly by facilitating talent mobility to these territories (Marshallian, Chan and Bournisien de Valmont, 2023^[15]) and, in consequence, strengthening their attractiveness. Finally, as highlighted in the OECD Principles on Rural Policy, providing accessible data for non-metropolitan areas is essential to unlock their latent potential (OECD, 2019^[14]).

Figure 2.5. Jurmala Attractivness Compass



Source: Own elaboration based on OECD (2023^[2]), using the indicators presented in Annex A.

Use case #3: Detecting opportunities for territorial co-operation

The OECD attractiveness framework supports policymakers in identifying opportunities for co-operation across territories (Jossec and Bandeira Morais, 2026^[16]). By providing comparable indicators at a granular territorial scale, the framework helps make territorial disparities and complementarities visible, enabling policymakers to identify where co-ordinated responses across neighbouring jurisdictions may generate greater impact. As previously highlighted by the OECD, inter-municipal co-operation has proven to be an effective instrument across many OECD countries and EU Member States for addressing a range of local government challenges, including limited resources, administrative fragmentation, the investment burden faced by individual municipalities, and the more efficient organisation and delivery of public services (OECD, 2024^[17]).

By leveraging multidimensional indicators, the framework enables the strategic use of complementary assets. For instance, municipalities with strong entrepreneurial activity may benefit from co-operating with neighbouring territories that host higher education institutions or research centres, enabling stronger innovation diffusion and knowledge spillovers across territories. Likewise, municipalities rich in natural or cultural assets may co-ordinate tourism strategies with nearby territories that offer stronger connectivity, accommodation capacity or tourism infrastructure, helping develop more integrated and sustainable tourism ecosystems. Such co-operative approaches can allow neighbouring territories to leverage their respective strengths, distribute economic opportunities more broadly and strengthen the collective attractiveness of territories.

The case of the neighbouring municipalities of Jelgava and Bauska in the Zemgale planning region illustrates how the framework can reveal complementarities between territories. Jelgava performs relatively well in labour market indicators compared with nearby municipalities (Box 2.3). However, the municipality faces constraints in housing conditions that may limit its ability to attract and retain workers. By contrast, neighbouring Bauska Municipality presents more favourable real estate conditions, which is accompanied by more limited labour market performance. Taken together, these patterns suggest potential complementarities between the two municipalities, where improved connectivity could help align labour market opportunities in Jelgava with more accessible housing in Bauska.

Co-operation is especially relevant when neighbouring municipalities face similar structural constraints. Processes such as population decline, labour market shortages, ageing, or climate-related risks often extend beyond administrative boundaries and require co-ordinated responses at the scale of functional areas. In such contexts, isolated policy actions may be insufficient or less effective, while joint strategies can help pool resources, achieve economies of scale and ensure policy coherence across territories. Moreover, co-operation can strengthen institutional capacity amid structural constraints, particularly in smaller municipalities with limited administrative and financial resources, by enabling the sharing of expertise and the joint delivery of services. For example, several neighbouring municipalities in Latgale Planning Region face a combination of population decline, more limited labour-market outcomes and longer travel times to key services. Co-ordinated approaches across these municipalities could help sustain access to healthcare and education through shared service provision, improve regional transport links, and jointly promote investment and skills attraction strategies that would be harder to deliver effectively through isolated local action.

Lastly, insights from the framework can facilitate the prioritisation of cross-border co-operation to leverage complementary territorial assets and address shared challenges. This is particularly important in the context of programmes such as Interreg in the EU, where identifying projects with the strongest cross-border relevance and impact remains a key policy priority (European Court of Auditors, 2021^[18]). For example, the neighbouring territories of Latgale Planning Region and Utena County in Lithuania display complementary characteristics that could support deeper co-operation. While Latgale offers relatively stronger education assets, Utena performs better on innovation indicators, suggesting scope for joint

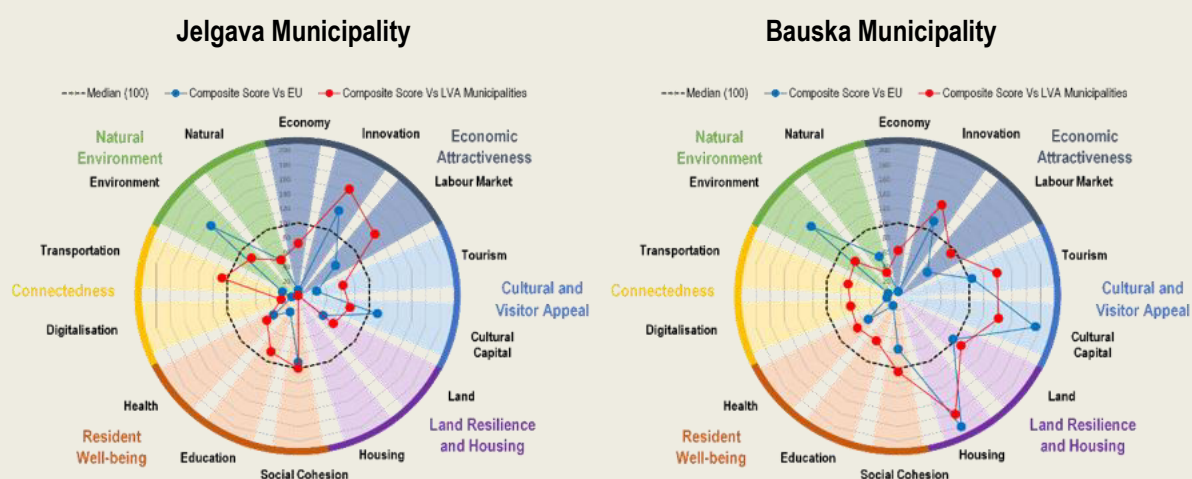
initiatives linking skills development, applied research and business support in sectors such as wood industries (OECD, 2025^[19]). The two areas also share rich cultural and natural resources, while Utena attracts higher tourism flows, creating opportunities for co-ordinated visitor routes, joint destination branding and cross-border tourism infrastructure (Ibid.).

Box 2.3. Leveraging territorial complementarities through inter-municipal co-operation: The case of Jelgava and Bauska municipalities

The case of the neighbouring municipalities of Jelgava and Bauska in the Zemgale planning region illustrates how the attractiveness framework can reveal complementarities between territories. Jelgava performs relatively well on labour market indicators compared with neighbouring municipalities. Its unemployment rate is close to the EU median, and the municipality records strong entrepreneurial activity, with an enterprise creation rate of about 1.5 times the EU median, ranking highest in the region and suggesting a dynamic labour market. However, Jelgava faces constraints in housing affordability, with a House Price Index of 200 (base 100 = 2021) and annual increases nearly three times the EU median in recent years, limiting its ability to attract and retain workers. By contrast, neighbouring Bauska Municipality shows more favourable housing dynamics, with stable or even declining prices in the most recent period for which data are available (2024). Nevertheless, Bauska exhibits more limited labour market performance, with a lower employment rate and higher youth unemployment.

Differences in multidimensional measures help highlight potential complementarities between the two municipalities. Strengthening co-ordination between Jelgava and Bauska, particularly in areas such as transport connectivity, spatial planning and housing development, could help align labour market opportunities in Jelgava with housing availability in neighbouring Bauska. For instance, improved commuting links could allow workers to access employment opportunities in Jelgava while residing in Bauska. By identifying such complementarities, the attractiveness framework helps policymakers move beyond a purely competitive perspective between neighbouring territories and instead promote co-operative approaches to regional development that draw on the strengths and gaps of places in proximity.

Figure 2.6. Complementarities between Jelgava and Bauska municipalities



Source: Own elaboration based on OECD (2023^[2]), using the indicators presented in Annex A.

As highlighted by analysis of the Interreg programme in the EU, robust and comparable territorial data is essential to implement programmes of regional co-operation and their monitoring (European Court of Auditors, 2021^[18]). In this respect, the attractiveness approach is particularly valuable, as it offers a consistent multidimensional evidence base to prioritise interventions with the greatest territorial relevance, define measurable objectives, and assess whether co-operation initiatives are delivering tangible outcomes over time, at both regional and municipal levels. At the same time, OECD evidence suggests that data alone is not sufficient to ensure successful territorial co-operation. Effective implementation also depends on enabling governance frameworks, adequate and predictable funding, incentives for municipalities to collaborate, and sufficient administrative and technical capacity (OECD, 2024^[17]). Successful examples such as Finland illustrates these conditions in practice, combining a clear legal framework for joint authorities and contractual arrangements with flexible funding models, external oversight, and a mix of voluntary and mandatory co-operation in areas such as regional development and land-use planning (OECD, 2024^[20]).

Use case #4: Mapping families of regions facing similar attractiveness challenges and devising shared solutions

The OECD regional attractiveness framework can support policymakers in identifying families of territories that share similar structural characteristics or attractiveness challenges. By analysing multidimensional indicators across territories, it enables regions to be grouped according to comparable performance profiles in areas such as economic attractiveness, labour markets, housing, connectivity and the environment (Jossec and Bandeira Morais, 2026^[16]). This, in turn, can help governments design common support packages and shared solutions tailored to the needs of territories facing similar challenges.

A range of shared development patterns across Latvian territories can also be identified through attractiveness indicators. One group includes the largest development centres, such as those represented in the Latvian Association of Large Cities, including Rīga and Jūrmala, which tend to combine stronger labour-market outcomes, higher incomes and good connectivity, while also facing housing affordability pressures and congestion risks. A second group comprises regional service centres and mid-sized municipalities with well-developed services, such as those grouped under the Latvian Association of Regional Development Centres, including Cēsis, and Sigulda, which often perform relatively well in employment, education and access to services, but face productivity constraints. A third group includes environmentally and culturally rich municipalities such as Ogre and Saulkrasti, where strong environmental quality, cultural amenities or tourism potential coexist with more limited business dynamism or accessibility challenges, as evidenced in Use Case #2.

A group of regions deserving special attention in recent years due to geopolitical uncertainty with neighbouring border countries and long-standing development challenges is Latvia's eastern border municipalities. This group of municipalities holds unique cultural identities and rich natural landscapes; however, these assets have not insulated them from entrenched economic disparities. These include limited economic performance, limited innovation, higher unemployment, infrastructural gaps, and reduced access to essential services – disparities that hinder their potential to attract and retain people and investment, and which risk exacerbating territorial imbalances and social fragmentation, leaving these places more exposed to shocks, as evidenced by the ongoing security situation (Donoso Salas, Białogłowska and Flood, 2025^[21]). The closure of Latvia's eastern border with Russia and Belarus has resulted in both a direct economic impact and longer-term reputational risks in attracting investors, talent, and visitors (OECD, 2025^[19]). In this context, by mapping performance consistently across these territories, the framework enables policymakers to move beyond crisis response and identify where existing assets, including relatively high rates of employer firm creation in the arts, entertainment, and recreation sector (Donoso Salas, Białogłowska and Flood, 2025^[21]) can be leveraged as a foundation for place-based

recovery strategies, and where cross-border and inter-regional co-operation with neighbouring EU regions along the eastern border could help build shared resilience (Box 2.4).

In this context, the use of multidimensional indicators could inform more targeted regional development programmes – for example, to strengthen the interventions under the Action Plan for the Security and Growth of the Eastern Border Region (Cabinet of Ministers, 2025^[22]) – aimed at improving connectivity, strengthening labour market opportunities, supporting local entrepreneurship and leveraging natural capital for sustainable economic diversification. Moreover, the identification of common assets in the cultural and creative industries, often overlooked drivers of development, also sheds light on priority sectors that could be further developed. As previously recognised (OECD, 2024^[23]), cultural and creative sectors can contribute to local economies by generating employment and entrepreneurship opportunities, particularly for SMEs and young people, strengthening place identity and social cohesion, and supporting tourism through heritage, cultural events and creative experiences. They can also foster innovation spillovers to other sectors, such as digital services, education, manufacturing and hospitality.

For Latvian policymakers, the key priority is to embed this type of territorial segmentation more systematically across the policy cycle. In the policy design phase, it can help identify groups of municipalities facing common opportunities or constraints. During policy design, it can support more differentiated and better targeted interventions instead of uniform approaches. During implementation, it can improve co-ordination across ministries as they devise programmes specific to a subset of places facing unique challenges (e.g. Eastern municipalities, border regions, coastal areas, etc.). Finally, during monitoring and evaluation, it can help assess whether comparable territories are converging or diverging over time and whether policy measures are delivering results (Jossec and Bandeira Morais, 2026^[16]).

Box 2.4. Identifying shared development challenges across municipalities along the Latvian eastern border

Going more granular than the Eastern Border Region (EBR), analysis of Eastern Border Municipalities (EBM) in Latvia illustrates how the framework can identify common structural challenges. Across several economic indicators, this group of municipalities perform substantially below the national municipal average. GDP per capita reaches around USD 13,300 (PPP), compared with nearly USD 25,000 in other Latvian municipalities, while gross value added per capita is almost USD 10,000 lower (Figure 2.7). Labour market outcomes also lag, with unemployment exceeding 12% – nearly double that of non-EBM – and lower shares of the population holding tertiary education. Additionally, despite weaker economic performance, housing prices have increased more rapidly in recent years. Tourism activity also underperforms, with less than half the number of overnight stays recorded in non-EBM municipalities. Connectivity remains limited, as reflected in lower shares of paved roads and slower internet speeds. Access to public services is also more constrained, with longer travel times to hospitals and schools. At the same time, EBMs display shared strengths, including higher activity in the creative sector, better air quality, and lower exposure to extreme weather events.

Figure 2.7. Performance of Eastern Border Municipalities vs non-Eastern Border Municipalities

Dimension	Indicator	EBM	non-EBM	Difference
Economy	GDP per capita (\$, constant PPP)	13,334.5	24,950.0	-11,615.6
	Gross Value Added per worker (\$, constant PPP)	11,724.8	21,938.2	-10,213.4
Innovation and Entrepreneurship	Employer firms creation rate (%)	0.1	1.6	-1.6
Labour market	Unemployment rate (15+) *	12.3	6.3	5.9
	Youth unemployment rate (15-24) *	9.6	7.2	2.5
	Employment rate (15+)	47.1	54.3	-7.2

Tourism	Overnight stays by foreign tourists (%)	10.9	28.7	-17.9
	Overnight stays in tourist accomm. (per 1k pop)	707.5	1,448.0	-740.5
	Tourism information centers (per 1k pop)	0.1	0.1	0.0
Cultural capital	Museums and galleries (per 1k pop)	0.3	0.3	0.1
	Theatres (per 1k pop)	0.1	0.1	0.0
	Employer firms creation rate creative sector (%)	9.3	7.0	2.3
Land	Built-up area exposed to river flooding (%) *	2.7	14.8	-12.1
	Land burned (%) *	0.0	0.0	0.0
	Change in land soil moisture (%)	-2.7	-2.2	-0.5
Housing	House price index (HPI) (Base 100 = 2020) *	147.0	137.5	9.5
	Increase of HPI from previous year (%) *	11.1	5.9	5.2
Social cohesion	Community centres (per 1k pop)	0.1	0.1	0.0
	Voter turnout in general elections (%)	55.6	64.1	-8.5
Education	Travel time to nearest school (mins) *	6.6	5.4	1.1
	Population with tertiary education (%)	20.4	26.3	-5.9
Health	Air pollution ($\mu\text{g}/\text{m}^3$)	8.7	11.0	-2.2
	Travel time to nearest healthcare service (mins) *	17.6	15.1	2.5
Digitalisation	Download speed (Mbps)	66.0	75.4	-9.5
Transportation	Paved roads (%)	46.2	56.6	-10.4
	Road density (km per km ²)	0.4	0.6	-0.1
	Cycleway density (km per km ²)	0.0	0.0	0.0
	Electric vehicles (%)	0.2	0.7	-0.5
Environment	Renewables in electricity generation (%)	96.8	98.8	-2.0
	Additional cooling degree days (compared to 1981-2010) *	13.5	13.7	-0.2
Natural capital	Tree cover area change 2000-2023 (%)	21.8	25.2	-3.4
	Tree cover rate (%)	78.9	77.3	1.6
	Share of protected areas (%)	14.9	17.4	-2.5

Note: EBM are defined as municipalities bordering Russia and Belarus: Alūksne, Balvi, Ludza, Krāslava and Augšdaugava. Non-EBM correspond to the remaining municipalities, excluding State Cities to avoid comparisons with metropolitan areas. A * indicates indicators for which a lower value is preferred. Differences shown in red indicate worse performance in EBM, while those shown in green indicate better performance.

Source: Own elaboration based on OECD (2023[2]), using the indicators presented in Annex A.

Use case #5: Monitoring regions' progress in attractiveness outcomes over time

The OECD regional attractiveness framework enables a dynamic assessment of municipal and regional performance through attractiveness indicators, allowing policymakers to track how regions evolve over time considering needs and strengths (Use Case #1), structural mismatches (Use Case #2), complementarities (Use Case #3), and shared challenges across groups of regions (Use Case #4). This temporal dimension is essential to move from static diagnosis to evidence-based monitoring and policy iteration (Jossec and Bandeira Morais, 2026_[16]).

To ensure successful regional governance reforms, strengthening policy monitoring and evaluation processes is fundamental, especially when reforms aim at enhancing regional competitiveness or implementing place-based policies (OECD, 2022_[24]). This will be critical in the context of Latvia's administrative territorial reform (ATR), where assessing its impact on service provision, accessibility and territorial performance remains a key policy imperative for VARAM in the years to come. In this context, Latvia could further strengthen its system of local performance indicators, RAIM, particularly with regard to the quality and accessibility of public services, while using the OECD framework to support the development of a consistent and scalable monitoring system that includes international comparability and

adds strategic, long-term impact indicators – acting as a complement to – and not a duplication of – the national monitoring programme already in place. This takes place in a context where local authorities regard the provision of good-quality services as a significant challenge, especially for large, sparsely populated territories where getting people to services is a key bottleneck and those afflicted by demographic decline (OECD, 2026^[25]; OECD, 2025^[19]).

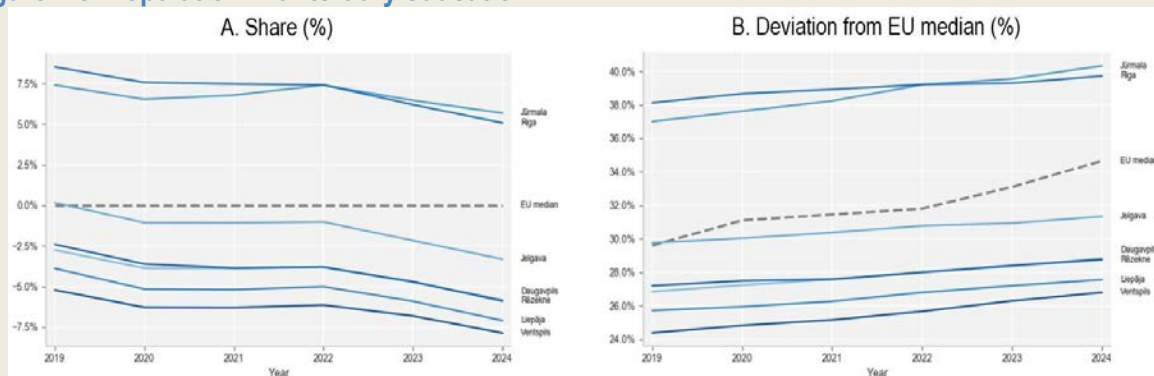
While this framework is not designed to replace local data collection, it complements Latvian sources by offering a comprehensive overview of development outcomes, benchmarked internationally. Across the OECD, many regional authorities rely on basic input metrics – such as euros spent, numbers of staff trained, or counts of service users – to monitor the progress of regional policies. In some cases, this is indeed characteristic of the Latvian context (OECD, 2025^[19]), while some planning regions use a wider range of indicators along the policy cycle focussed more on outcomes (discussed in Chapter 3). Nevertheless, effective monitoring and evaluation is different from reporting for accountability or budgetary purposes (OECD, 2025^[4]), as this kind of measures are often limited in their ability to capture the evolution of the underlying territorial assets that drive long-term economic growth and citizens' well-being. By contrast, this multidimensional framework provides a more comprehensive evidence base to understand whether policy interventions are effectively strengthening the foundations of sustainable and inclusive territorial development, beyond short-term outputs.

Analysis of the education sector in Latvia exemplifies the use of the attractiveness framework to monitor development trajectories. In particular, education indicators within the framework reveal an absolute improvement in tertiary (higher-level) education attainment, coexisting with relative declines compared with the EU average (Box 2.5), highlighting the importance of combining temporal and comparative analysis. They also show decreased accessibility to primary educational establishments, with travel times higher than the EU median in all the Latvian municipalities as of 2023.

Box 2.5. Monitoring regions' progress over time: Example from educational indicators

The analysis of education indicators highlights the importance of combining temporal and comparative perspectives when assessing territorial performance. As shown in Figure 2.7.A, the share of the population with tertiary education in state cities has increased steadily over the period 2019–2024, both before and after the 2021 ATR. While this trend is positive, the rate of increase has been slower than in EU peer regions, leading to a gradual decline in the relative position of Latvian state cities over time (Figure 2.7.B). This comparative perspective calls for further analysis of the drivers of this relative decline, including the comparative performance of local education systems, and the role of talent retention and attraction mechanisms.

Figure 2.8. Population with tertiary education

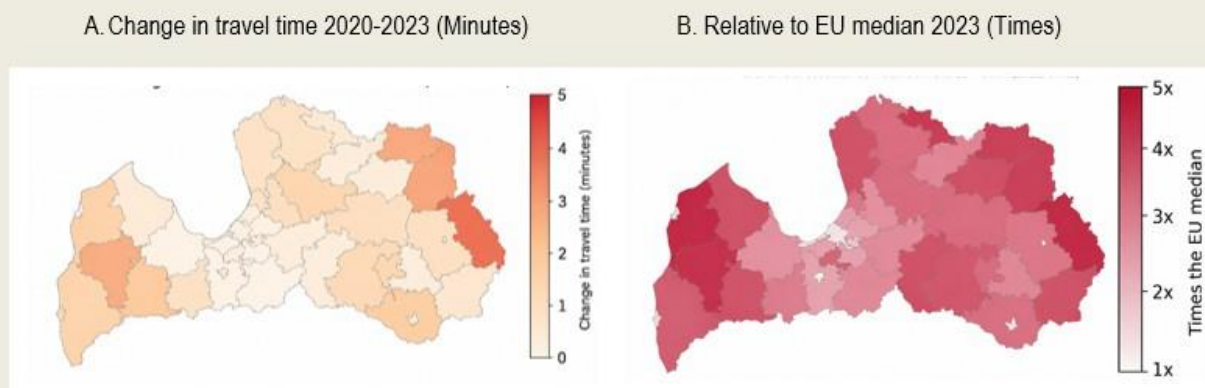


Note: Data on pre-ATR state cities are used, as they have not experienced changes in their boundaries following the ATR.

Source: Own elaboration. See Annex A for definitions of the specific indicators.

Indicators on access to schools have deteriorated over time. As shown in Figure 2.8.A, all municipalities have experienced increases in their average travel time to the primary schools between 2020 and 2023, with particularly high increments in the easternmost and westernmost areas. This contrast with the declining trend observed at the EU level (Eurostat, 2026^[26]). As seen in Figure 2.8.B, in the most recent period available, travel times adjusted to the nearest primary school – adjusted by population – in Latvian municipalities are up to five times the EU median. This trend points to growing spatial inequalities in access to educational services and underscore the need to strengthen provision, particularly in more remote areas.

Figure 2.9. Travel times to nearest schools



Note: Data are provided at a 1 km × 1 km grid resolution and were aggregated by municipality using population weights. This provides the possibility of compare updated boundaries pre and post ATR.

Source: Own elaboration. See Annex A for definitions of the specific indicators.

The importance of embedding outcome and impact indicators across the full policy cycle is well illustrated by an assessment of the Vidzeme Planning Region Development Programme 2022-2027. The programme covers 12 priorities and over 100 indicators across four strategic targets, but a closer examination reveals an uneven distribution: while outcome and impact indicators are reasonably well represented in the economic and environmental priorities, social, mobility, community and housing priorities rely predominantly on activity counts and perception measures, leaving gaps in the programme's ability to assess whether interventions are generating meaningful territorial change (Vidzeme Planning Region, 2022^[27]). Table 2.1 illustrates where these gaps arise and how the OECD Regional Attractiveness framework could help address them. In several cases – including travel time to the nearest school or healthcare facility, housing affordability dynamics, and transport connectivity benchmarks – the framework provides precisely the kind of comparable, place-based outcome data that the Vidzeme programme currently lacks, demonstrating how multidimensional attractiveness indicators can strengthen monitoring and evaluation throughout the policy cycle, not only at the diagnostic stage.

Table 2.1. Assessment of indicators under the Vidzeme Planning Region Development Programme 2022-2027

Priority	Main Gap	Attractiveness Framework Relevance
Nature and culture heritage	No measure of economic value of cultural tourism	Cultural and visitor appeal domain, including business activity
Accessible education	No territorial access measure; attribution problem with labour market indicators	Travel time to nearest school
Safe, inclusive and healthy society	No territorial health access measure	Travel time to nearest healthcare; air quality
High quality and accessible social services	No measure of unmet need or service quality	Well-being and access indicators
Mobility and accessibility	No modal shift or journey time measure; attribution problem	Road density, paved roads, active mobility benchmarks
Identity and strong communities	No measure of whether community activity sustains population	Social cohesion domain
Living environment and housing	No affordability or housing quality measure	House Price Index, housing dimension
Co-operation and civic participation	No measure of co-operation outcomes	Territorial diagnostic across all six domains

Source: Own elaboration based on Vidzeme Planning Region Development Programme 2022-2027.

By generating timely evidence on territorial trends and results, multidimensional attractiveness indicators enable policymakers to refine implementation processes and provide feedback to improve the design of subsequent interventions. Their importance is twofold. Tracking changes in indicators over time shows whether a territory is improving, while benchmarking against peers indicates whether it is improving fast enough to close gaps. This dual lens also helps policymakers distinguish between progress driven by local policy efforts and progress that simply reflects broader national or international trends – such as rising educational attainment across all territories – ensuring that policy conclusions are not drawn from trends that would have occurred regardless of intervention.

However, data availability alone is not sufficient to build effective monitoring and evaluation systems. Robust monitoring requires data to be included across the whole policy cycle, from design to implementation and review. In particular, embedding evaluation thinking into the initial stages of policy design can contribute to set clear policy objectives (OECD, 2025^[4]). In addition, evidence must be translated into clear and actionable findings that policymakers and practitioners can use in decision making, rather than remaining as technical reporting (OECD, 2025^[4]; Kusek and Rist, 2004^[28]). Indeed, effective systems also depend on the skills and resources needed to interpret results and commission evaluations, particularly critical at the subnational level (OECD, 2025^[4]; OECD/European Commission, 2025^[29]).

Strengthen the use of attractiveness indicators through ready-to-use, evidence-based policy tools

Taken together, the five use cases presented in this chapter suggest that Latvia could benefit from a stronger use of multidimensional attractiveness indicators to support more coherent, evidence-based regional development policymaking:

- Latvia could make greater use of the attractiveness framework as a strategic tool to diagnose territorial development challenges, identify local strengths, and manage trade-offs across policy objectives. Its comparative and multidimensional perspective is particularly valuable in a globally

connected context in which territories increasingly compete to attract investment, talent and visitors, thereby shaping their resilience and contribution to the national economy. Thus, by revealing how municipalities perform relative to peers across a broad range of development drivers, the framework can help policymakers move beyond narrow economic metrics and design more targeted and coherent interventions.

- Policymakers should place strong emphasis on converting underused local assets into higher value-added economic activity. As illustrated throughout this chapter, many Latvian municipalities combine strong environmental and cultural assets, well-educated populations and affordable housing. Nevertheless, translating these advantages into more attractive and competitive local economies depends on complementary drivers such as connectivity, labour market dynamism and access to quality public services.
- Greater emphasis could be placed on territorial co-operation in Latvia. Many development challenges and opportunities extend beyond local boundaries, including labour markets, housing, transport systems, service provision and tourism ecosystems. The use of a multidimensional, evidence-based framework can support stronger co-ordination across neighbouring municipalities, planning regions and cross-border areas, thereby improving policy efficiency and enabling territories to benefit more from complementary assets.
- Through the use of the attractiveness framework, Latvia could further differentiate policy instruments for groups of territories facing shared structural challenges. Border areas, shrinking territories, peri-urban growth zones often require distinct policy responses. A more segmented approach would allow interventions to better reflect local realities, facilitate the pooling of resources across territories facing common challenges, and support the monitoring of performance across areas with similar development profiles and trajectories.
- Strengthening monitoring systems should remain a priority, particularly in the context of the Administrative Territorial Reform. Through the use of the attractiveness framework, Latvia could benefit from a systematic scheme to assess whether reforms and investments are fostering development goals such as competitiveness, connectivity, service quality and quality of life over time. The objective is not to replace existing monitoring systems, but rather to complement them with a set of common indicators that enables consistent benchmarking across Latvian territories.

Realising the potential of the attractiveness framework as a practical policy tool, however, requires that the attractiveness framework be embedded systematically into the policy processes through which regional development priorities are set, investments are allocated, and outcomes are evaluated – rather than used on an ad hoc basis for analytical exercises that remain disconnected from decision making. To this end, the Latvian government could embed the systematic use of multidimensional territorial indicators across the full cycle of regional development policy – from strategy design through to investment programming, monitoring, and evaluation. Integrating the attractiveness framework in the RAIM platform is a start in this direction but cannot stop there. A deliberate selection exercise is needed to identify, from the attractiveness framework and complementary local and regional datasets, the indicators that draw a direct and explicit connection to the key strategic outcomes under the regional policy guidelines. This alignment between what is monitored and what is being pursued strategically is what transforms a data platform into a genuine policy tool. Equally important is who is involved in building and using it: developing the indicator set and the platform in consultation with planning regions, local authorities, and relevant line Ministries ensures that the tool reflects shared priorities, commands broad ownership, and supports accountability across levels of government. Ireland's Regional Development Monitor (Box 2.6) illustrates what this can look like in practice.

Planning regions can play a central role in this process, using multidimensional diagnostics to support their co-ordination function between national and local levels and to strengthen the evidence base for regional investment priorities. To ensure the approach delivers results rather than remaining an analytical exercise,

VARAM should work with planning regions and municipalities to build interpretive capacity, develop complementary indicators on service accessibility and quality – particularly relevant in the context of the ATR – and establish a regular updating cycle that enables trend analysis over time and direct linkage to budgetary and programming decisions.

Box 2.6. Ireland's Regional Development Monitor: Linking territorial data to the monitoring of regional plans

Ireland provides a useful example of how territorial data can be translated into a practical monitoring tool for regional development policy. The [Regional Development Monitor](#) (RDM), launched in 2022, is a publicly accessible online platform developed by Ireland's three Regional Assemblies – in collaboration with strategic partners – that brings together a broad range of indicators organised explicitly around Key Regional Strategic Outcomes. These are grouped into four thematic pillars: Our People and Place (covering demographic change, housing, transport and health); Our Green and Sustainable Future (renewable energy, greenhouse gas emissions and water quality); Our Region's Economy (labour markets, foreign direct investment, lifelong learning and disadvantage); and An All-Island Perspective. This structure means the platform's data architecture directly mirrors the strategic architecture of Ireland's Regional Spatial and Economic Strategies (RSES), enabling regional authorities to assess whether priorities related to balanced growth, infrastructure provision and regional competitiveness are being achieved over time.

A key strength of the Irish model is that it was designed to serve multiple levels and actors simultaneously. Beyond regional assemblies – which are required to report on RSES progress, making regular use of the platform an operational necessity – the RDM supports national government departments in policymaking, local authorities in the preparation of city and county development plans, and researchers and the public in accessing real-time evidence on social, economic and environmental trends. This breadth of use, combined with quarterly updates and full public visibility, strengthens incentives for regular engagement and facilitates benchmarking and dialogue across territories and levels of government.

Source: (Interreg Europe, 2024^[30]; European Urban Initiative, 2024^[31])

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Notes

¹ For more information, see: [Rethinking regional attractiveness | OECD](#)

3

Governance for local and regional development in Latvia

This chapter examines how Latvia's multi-level governance system can better support place-based regional development. While the country benefits from robust legislative frameworks, a solid strategy architecture, and a 2021 Administrative-Territorial Reform that produced larger and more financially viable municipalities, important governance gaps persist. At the national level, regional development remains a largely sectoral concern rather than a cross-cutting priority, limiting policy coherence across line ministries. Vertical co-ordination between national and subnational actors is intermittent, and subnational associations present a fragmented advocacy landscape. At the local level, municipalities lack sufficient comparable data to identify where inter-municipal co-operation could address shared service delivery challenges. The chapter also identifies specific capacity gaps within planning regions, particularly in outcome and impact indicator design. Addressing these gaps - through inter-ministerial platforms, stronger multi-level dialogue, improved subnational data systems, and targeted capacity-building - is essential to translate Latvia's governance foundations into tangible improvements in regional attractiveness.

Introduction

The OECD regional attractiveness framework provides an important foundation that can support more coherent, evidence-based regional development policymaking in Latvia. However, the attractiveness of Latvia's regions and municipalities also depends on how effectively the country's multi-level governance system – i.e. the actors, institutions, frameworks and practices that support decision-making and implementation across and among levels of government – can support place-sensitive action based on the evidence the framework generates.

Latvia's multi-level governance system has important strengths that enable it to support place-based regional development. For instance, robust legislative and strategic planning frameworks establish how responsibilities and resources to support territorial development should be allocated across and among levels of government. They also provide guidance on how policies and programmes can advance national-level territorial development objectives while addressing place-specific needs. Furthermore, the country's 2021 Administrative-Territorial Reform produced larger and more financially viable local governments in order to deliver public services and invest in the development of their territories.

These strengths notwithstanding, there are opportunities to further refine Latvia's multi-level governance system, particularly as regards the vertical and horizontal co-ordination of regional development policy, and subnational data availability and capacity building support for planning regions that is available to support subnational action. Territorial development could be embedded more systematically as a cross-sectoral priority at the national level, in order to improve regional development policy coherence and encourage more place-sensitive decision making by line ministries. Additionally, strengthening the evidence base supporting decisions regarding inter-municipal co-operation could help municipalities better align their efforts and resources for territorial action. Furthermore, targeted support, including addressing specific subnational data gaps and bolstering certain performance measurement-related skills, could help planning regions strengthen their capacity to track progress towards their strategic objectives. This chapter addresses these issues in turn.

The Administrative-Territorial Reform in review: strengthening the foundations for place-based regional development

Latvia's current multi-level governance architecture is the product of the 2021 Administrative-Territorial Reform (ATR), one of two significant reorganisations of subnational governance since the restoration of independence. Adopted in June 2020 and in force from 1 July 2021, the reform has amalgamated 119 local governments into 35 municipalities (*novadi*) and 7 state cities (*valstspilsētas*), which, despite their separate formal categorisations in law, have the same tasks and resources (Saeima, 2022^[1]; OECD/UCLG, 2022^[2]). This reform was preceded by two other administrative-territorial reorganisations: a first, in 2002, which created five planning regions, and a second in 2009, which abolished the Soviet-era district tier and reduced the local map to 110 municipalities and 9 republican cities (OECD/UCLG, 2022^[2]).

The ATR was introduced to address challenges stemming from long-standing municipal fragmentation in Latvia (OECD, 2026^[3]), and was designed to create the conditions for more balanced territorial development. By amalgamating smaller units into larger ones, the reform aimed to establish economically viable local governments capable of delivering their statutory functions and public services in comparable quality and at reasonable cost across the country (Saeima, 2020^[4]; OECD/UCLG, 2022^[2]).

The ATR brought about significant changes to the local government landscape. The average population of a local government in Latvia rose from 15 909 to 43 757 inhabitants, far exceeding the OECD average of 10 494 or the EU average of 5 327 (OECD, 2025^[5]). Moreover, the 2022 Cabinet of Ministers report on the reform's results suggested that consolidation has already strengthened local government financial

capacity (Cabinet of Ministers, 2022^[6]). The gap between the largest and smallest municipal budget revenues narrowed by a multiple of 34 before the reform to a multiple of six in 2022, and the share of municipalities with annual budget revenues below EUR 10 million fell sharply, from 60 before the reform to just one (Cabinet of Ministers, 2022^[6]). In addition to administrative-territorial reorganisation, related reforms, including amendments to the Local Government Law, clarified and adjusted existing local government responsibilities and added new ones (Saeima, 2022^[11]). Several existing competences were expanded (i.e. municipal policing, previously optional, became mandatory for all municipalities), while new local government responsibilities were allocated in areas such as climate change mitigation and adaptation and sustainable development (Saeima, 2023^[7]; Reinholde, Stučka and Auliciema, 2025^[8]). Table 3.1 provides a full overview of the current assignment of responsibilities among levels of government.

Table 3.1. Assignment of responsibilities among levels of government in Latvia following the administrative-territorial reform

National Government	Planning Regions	Local Government
- National legislation and policy (constitutional framework, civil law, criminal law, taxation, defence, foreign policy) - Central oversight of public administration and delegated tasks to local governments (including ensuring resources for delegated tasks) - National infrastructure, energy, telecommunications, health and higher education systems - Defining national spatial planning criteria and supervising conformity of sub-national plans (through Spatial Development Planning Law) - Budgetary frameworks and grants to local governments (agreements on subsidies and earmarked funds) - Management of EU Cohesion Policy Funds	- Development of regional development programmes, in consultation with local authorities while ensuring alignment with national-level plans - Co-ordination and monitoring of spatial planning at regional and local levels (co-ordinating local plans) - Public transport organisation in co-operation with central and local governments - Promoting regional co-operation and representation of local government interests between municipalities and the national government (In some cases) involvement in EU or national investment programmes, focussed on regional implementation via co-ordination with local authorities	- Development of local development programmes, while ensuring alignment with national- and regional-level plans - Autonomous functions defined in the Local Government Law, including: utilities (water, heating, waste management), roads, basic education and preschool provision, culture, social care, housing support, land-use planning, public order (e.g., municipal police), civil registries, public transport services, civil protection & fire safety, youth & sports, environmental management, sobering-up services, and climate change adaptation - Voluntary local initiatives provided they do not encroach on State or regional competences - Delegated administrative tasks by the State (in fields where the State chooses to assign functions and resources to the municipality) - Local spatial planning - Local economic development support and community services tailored to inhabitants' needs

Source: (Saeima, 2022^[11]; European Committee of the Regions, n.d.^[9]; OECD/UCLG, 2022^[2])

While the ATR consolidated the local government tier, it left Latvia's five, non-elected planning regions largely untouched (OECD, 2026^[3]). These planning regions bring together municipally-delegated politicians for regional decision making and are supported by a professional administrative secretariat. They reflect a recognition by the national government that many development challenges transcend municipal boundaries and require co-ordination at a regional scale. Planning regions operate under the supervision of the Ministry of Smart Administration and Regional Development (VARAM), which leads regional development policy at the national level (Saeima, 2025^[10]).

The ATR therefore represents an important step in supporting place-based regional development in Latvia. It has produced larger and more financially viable local governments, with the scale and resources to deliver public services and invest in their territories more effectively than the fragmented landscape that preceded it. The reform also complements the existing regional tier of planning regions, whose

co-ordinating role across municipal boundaries is enhanced when the local governments they bring together themselves have sufficient capacity to engage as substantive partners in regional development.

At the same time, the ATR is one building block among several necessary ones. Achieving the reform's underlying ambitions, making Latvia's regions more attractive places to live, work and invest, also depends on other multi-level governance arrangements that organise how national and subnational-level actors operate. Another of these building blocks relates to co-ordination and co-operation: how effectively national, regional and local actors align their priorities, actions and resources around shared territorial objectives, both across sectors and between levels of government. A further building block relates to subnational capacity: whether planning regions and municipalities have the human, financial and technical resources needed to support the achievement of national-level regional development objectives while also addressing their specific territorial needs. The sections that follow examine each of these building blocks, identifying where Latvia's current arrangements work well as well as opportunities for further refinement.

Supporting stronger co-ordination and co-operation for regional development in Latvia

Governments rely on a variety of mechanisms to co-ordinate and align inter-institutional relations, policy priorities, actions and resources. These can range from “harder” arrangements – such as laws and regulations, standards, and inter-ministerial agreements – to “softer” ones, such as inter-ministerial co-ordination bodies, working groups or other dialogue bodies. Strategy frameworks can also serve as co-ordination mechanisms (OECD, 2020^[11]). Regardless of their type, a mix of these arrangements is essential for ensuring coherent national and subnational government action to support regional development and promote regional attractiveness.

Some of these governance arrangements are firmly in place in Latvia. The legislative framework for territorial development not only establishes the responsibilities and resources assigned to different levels of government, but also embeds the principle of cross-sectoral and multi-level co-ordination of regional development policy (Saeima, 2022^[1]; Saeima, 2025^[10]). In addition, the country has a solid strategy framework for regional development including a detailed national-level regional development strategy (i.e. VARAM's Regional Policy Guidelines 2021-2027). National-level programming for regional development articulates clear territorial development aims, such as reducing regional inequalities and encouraging population retention and attraction in Latvia's regions, providing a roadmap for territorial action that helps to guide both national and subnational actors. In turn, subnational-level programming sets out how regional and local governments will support the national-level objectives for territorial development while also addressing their own place-specific needs (Box 3.1).

Box 3.1. Latvia's strategy framework for regional development

Latvia approaches regional development through a structured strategy framework that includes its Sustainable Development Strategy, as well as national and subnational planning and guideline documents. This framework provides a basis for aligning national priorities for territorial development with the specific needs of individual regions and municipalities. The country's highest long-term national-level development strategy was approved by the Saeima in 2010: the Sustainable Development Strategy (SDS) of Latvia until 2030. It includes seven national-level strategic objectives, including supporting “spatial development” and ensuring “equal life and work conditions for all [Latvian] inhabitants regardless of the[ir] place of residence.”

The National Development Plan (NDP) for 2021-2027 is the primary medium-term national planning document, the development of which is led by the State Chancellery in co-operation with all line

ministries. The NDP defines six priority areas¹, and 18 lines of action that support SDS implementation. One line of action is balanced regional development. Under it, the NDP sets out to increase the potential of Latvia's regions and reduce socio-economic disparities by strengthening their internal and external competitiveness, while providing region-specific solutions to improve the quality of the living environment and encourage settlement outside the Riga metropolitan area.

Furthermore, the Regional Policy Guidelines, developed by VARAM, provide information on how the NDP's goal of balanced regional development is to be achieved by different levels of government. The Guidelines help clarify: a) the territorial approach to regional development in Latvia (e.g. greater support for territories with a lower regional GDP per capita) and b) priority areas for regional policy (e.g. bolstering regional economic development, service provision, and strengthening the capacity of planning regions and municipalities). They also outline a detailed list of priority measures for regional development.

At the subnational level, regional and local development programmes are prepared by planning regions and municipal governments, respectively. They are required to demonstrate clear alignment with national-level strategic priorities, and set out region or municipality-specific strategic priorities, lines of action, measures, actors responsible for implementation and potential funding sources, as well as performance measurement indicators to track progress towards implementation.

Figure 3.1. Latvia's strategy framework for guiding regional development



Source: (Government of Latvia, 2017^[12]; Government of Latvia, 2021^[13]; Government of Latvia, 2021^[14]; Vidzeme Planning Region, 2022^[15]).
 Note: 1) The NDP 2021–2027 is structured around six priorities: (1) Strong Families, a Healthy and Active Population, focusing on healthcare, psychological well-being, family support, and social inclusion; (2) Knowledge and Skills for Personal and National Growth, covering science, education quality, and lifelong learning; (3) Business Competitiveness and Material Well-being, addressing productivity, innovation, export, and the business environment; (4) Quality Living Environment and Regional Development, encompassing the green deal, transport and digital infrastructure, balanced regional development, and housing; (5) Culture and Sport for an Active Lifestyle, promoting public participation in culture and sport and their contribution to sustainable society; and (6) A United and Open, Safe and Secure Society, addressing social cohesion, rule of law, governance, and safety and security.

This legislative and strategic planning framework notwithstanding, Latvia faces challenges related to the horizontal and vertical co-ordination of regional development policy, and to the local level that can help implement it. With regards to national-level (horizontal) co-ordination, regional development is typically regarded as a sectoral rather than a cross-sectoral issue by line ministries. This risks undermining policy alignment and outcomes. With regards to vertical co-ordination, the ability of subnational-level actors to engage national-level decision makers on territorial development issues is largely limited to VARAM, despite the important role of other line ministries in funding and financing regional development. Moreover, at the local level, municipal governments lack a sufficiently strong evidence base to be able to assess where inter-municipal co-operation may be beneficial. This limits their ability to collaborate where

necessary to address shared challenges. Such challenges risks undermining policy coherence and/or leading to duplication and overlap between policies and programmes.

Reinforcing national-level co-ordination for regional development

A key challenge affecting regional development in Latvia is a fragmented approach to regional development. This is not uncommon, and arises when line ministries (e.g. economy, education, environment, transport) do not necessarily take regional development and regional development objectives into consideration when developing sectoral policies and programmes. The result can be spatially blind sectoral policies and initiatives that do not necessarily advance the government's territorial development agenda and limit the ability of Latvia's regions to realise their attractiveness potential.

Evidence of a fragmented approach to regional development is apparent in the design of national-level strategic plans. For example, the NDP identifies balanced territorial development as one of its 18 lines of action. Yet it makes almost no links between the regional development line of action and the other 17. This leaves unclear how measures taken in one sector, such as transport, will contribute to, or detract from, objectives in other sectors that also contribute to territorial development objectives, such as those associated with the Green Deal or housing (Government of Latvia, 2021^[13]). Another example is found in the "quality, accessible, and inclusive education" line of action, which sets out commitments on pre-school quality, teacher training and vocational education (Government of Latvia, 2021^[13]). However, it treats these as uniform national priorities rather than as commitments whose delivery will look fundamentally different across Latvia's territories. Rural municipalities facing falling school-age populations are likely to confront more severe accessibility challenges compared to their urban counterparts, while urban areas may face disparities in school quality based on neighbourhood or catchment area. Yet, the NDP offers no indication of how education commitments can be adjusted to meet local needs. Failure to systematically embed territorial development as a cross-sectoral priority across government risks encouraging line ministries to develop programmes and policies without a place-sensitive lens.

Additional evidence of a fragmented approach to regional development at the national-level is seen when comparing the priorities of VARAM's Regional Policy Guidelines 2021-2027 with the sector strategies of other line ministries (Government of Latvia, 2021^[14]). For example, the Guidelines, adopted in 2021, explicitly name the Ministry of Economics as a co-responsible institution for a range of regional development measures in the document's implementation matrix. These include establishing a co-ordinated support system for attracting investment to the regions and supporting the development of regional innovation and knowledge systems. By contrast, the Ministry of Economics' Industrial Policy Guidelines, adopted in February 2021, do not clearly translate these shared commitments into specific sectoral action. Of the twelve implementation tasks listed under the Guideline's "innovation" line of action, none address the measures for which the Ministry is named as co-responsible in the Regional Policy Guidelines (Ministry of Economics, 2021^[16]). In the limited cases where the Guidelines do engage with innovation at the subnational level, they do so by attributing responsibility for implementation to VARAM, rather than specifying what the Ministry of Economics itself will do to support implementation (Ministry of Economics, 2021^[16]). This circularity suggests that co-ordination among line ministries could be improved to ensure alignment of actions and resources in a way that supports national-level territorial development objectives. Without such alignment, policy complementarities risk being lost, policy coherence limited, and resources not optimised.

These questions of policy alignment can arise from a lack of clarity on how regional development links with other policy sectors, and how other sectors can benefit from a more place-based or territorially nuanced approach. In this regard, interviews indicated that supporting regional development policy is largely seen as the responsibility of VARAM, and line ministries do not systematically consider the territorially specific impact of sectoral policies and programmes (OECD, 2026^[3]). While VARAM has already developed

information for line ministries on the different elements underscoring a place-based approach, this information could be further strengthened to provide more practical guidance on how to integrate these considerations into the design and implementation of sectoral policies and programmes (Interdepartmental Coordination Centre, 2016^[17]; VARAM, 2023^[18]). Questions of policy alignment can also arise from limited incentive for cross-sector co-ordination. In this regard, the Regional Development Law tasks VARAM with leading the design, implementation, monitoring and evaluation of regional development policy, as well as the co-ordination of support measures for territorial development (Saeima, 2025^[10]). However, more could be done to provide VARAM with regular opportunities to proactively convene line ministries on territorial development issues, and secure the latter's active engagement in supporting regional development policy.

Fostering greater inter-ministerial co-ordination of regional development

To further strengthen the national-level co-ordination of regional development policy, there are a number of approaches that the government could consider. One approach would be for the government to consider establishing an inter-ministerial platform responsible for co-ordinating regional development priorities across government. The platform could, for example, be chaired by VARAM, and include other ministries whose portfolios actively contribute to regional development. Other ministries and subnational-level actors (e.g. regional and local government associations, planning regions), could also be invited subject to need or agenda item.

A cross-sectoral co-ordination platform at a ministerial level in Latvia could help to guide the overall strategic direction of regional development and its supporting policies and programmes. It could guide priority-setting for regional development investment, and ensure that the regional-level operations and investments of line ministries are coherent and aligned. This would help reduce policy fragmentation and provide a forum to ensure that different policy sectors are systematically considering their regional impact, and that regional considerations are incorporated into national-level strategic planning and budgeting. Such a platform could be supported by an inter-ministerial working party entrusted with overseeing the implementation of the council's decisions.

An alternative, or complementary approach to a cross-sectoral platform at a ministerial level would be for VARAM to work with line ministries to revise the guidance on how to integrate a place-based approach into the design of sectoral policies, programmes and initiatives. This could include, for example, refining and updating guidance on how to ensure that the territorial needs and priorities set out in Latvia's national-level strategy framework for regional development are reflected in sector strategies, and ensuring that a place-sensitive lens is applied to sector programming and implementation. In other countries, such as Mexico, relevant line ministries provide practical online resources to help both national and subnational policymakers ensure that cross-cutting issues, such as regional development, are systematically taken into account in programming documents (Box 3.2).

Box 3.2. Mexico's approach to integrating cross-cutting priorities into national-level planning documents

Mexico's federal planning law requires the formulation of development programmes at national, state and municipal levels. All of these must align with the overarching National Development Plan, which spans a six-year period, coinciding with the presidential term. The plan sets the country's long-term objectives, strategies and priorities across economic, social, cultural and environmental spheres. Specifically, it requires the development of various programmes, as follows:

- Institutional programmes are developed by each of the national-level public bodies. They highlight organisational improvements and specific actions each public body will undertake to contribute to national objectives.
- Sectoral programmes are developed by various sectors of the public administration (e.g. health, education, energy). They outline the objectives, strategies and actions to be undertaken within these specific sectors.
- Special programmes focus on specific thematic areas or target particular social, economic or environmental issues that cannot be addressed by individual public bodies and instead require cross-sectoral collaboration.
- Regional programmes address the development needs and priorities of specific geographic areas (that go beyond the administrative boundaries of federal states) within the country.

In 2019, the Ministry of Finance and Public Funds organised a series of meetings for the planning staff of Mexico's national-level public bodies to guide them through the programme-design process. The meetings included workshops on how to integrate various cross-cutting priorities (e.g. sustainable development, equality and non-discrimination, territorial development, interculturality, gender, the natural environment) into all institutional, sectoral, special and regional programmes.

With the support of different national government bodies and international organisations, the Ministry of Finance and Public Funds also created a website that enables policymakers to access supporting material on the different cross-cutting issues and how to integrate them into the different national-level planning instruments. This material includes factsheets on a series of key economic, social, environmental and governance indicators (e.g. education, healthcare, insecurity) that reveal relevant development gaps across population groups and regions, and are meant to be used to help design the diagnostic for each programme.

Source: (OECD, 2026^[19])

In principle, existing national-level governance practices in Latvia offer a precedent that would allow both approaches to be adopted with relative ease. For example, modifications to Cabinet regulations in 2023 enabled the establishment of inter-ministerial bodies (known as thematic cabinet committees) by prime ministerial decree (Sustainable Governance Indicators, 2026^[20]). Since then, the government has already established several such committees, to help line ministries to align their policies and investments in cross-sectoral areas such as energy, environment and climate, digital modernisation, and Eastern border security and development (Government of Latvia, 2024^[21]) (Sustainable Governance Indicators, 2026^[20]). Establishing a thematic cabinet committee for regional development, led by VARAM, or expanding the scope of existing committees to systematically focus on the co-ordination of regional development issues) – like the Eastern Border Committee, albeit a wider mandate beyond those region-specific issues would be needed – could help to embed the topic as a cross-sectoral priority that other line ministries take account of in their day-to-day decision-making.

Third, greater co-ordination at the ministerial level, can – and should – also be complemented by greater co-ordination at the technical level. Each line ministry within the Latvian government has experts with dedicated strategic planning expertise (OECD, 2025^[22]). VARAM could draw on this existing capacity. In particular, its strategic planning experts could engage more systematically with strategic planning units across line ministries to provide the latter with practical guidance, and offer ongoing advisory support on how to apply a place-based lens to sectoral programming. Such engagement is more likely to succeed when framed as a joint exercise to identify areas where the priorities set out in in Latvia's national-level strategy framework for regional development and line ministries' own sectoral objectives are mutually reinforcing. This could include, for example, VARAM convening dedicated working groups with the planning experts of the Ministries of Economics, Transport, Health, Education, Agriculture, and Climate

and Energy to identify where their respective objectives converge, identify the measures that can deliver against both sets of objectives, and assess the territorial impact of proposed policies and programmes.

Expanding opportunities for the multi-level co-ordination of regional development policy

Effective vertical co-ordination of regional development can help achieve national-level territorial development objectives while also ensuring that unique regional and local needs are addressed. In Latvia, two different types of subnational actors support such activity. The first is planning regions. Latvia's planning regions perform a vertical co-ordination role with respect to regional development objectives and priorities. This is accomplished primarily by ensuring that their regional development programmes are aligned with the NDP, Latvia's national-level strategy framework for regional development, and other higher-level strategic planning documents, while simultaneously addressing specific territorial needs (Saeima, 2025^[10]). Planning regions may also apply to provide official opinions on the draft strategic plans of line ministries (Cabinet of Ministers of Latvia, 2021^[23]). The second is the four local and regional government associations – the Latvian Association of Local and Regional Governments (LALRG), the Latvian Association of Large Cities (LALC) and the Latvian Association of Regional Development Centres (LARDC) and the Riga and Pieriga Municipalities Association (Riga Metropole). They offer an established channel through which subnational governments can engage in national policy dialogue and receive information regarding legislative, regulatory or policy developments (LALRG, 2026^[24]; LLPA, 2026^[25]; RACA, 2026^[26]; Riga Metropole, 2026^[27]). Together, these actors provide a basis for aligning national- and subnational-level priorities and resources for territorial development.

However, vertical co-ordination arrangements in Latvia do not yet systematically embed a place-based approach to regional development policy among levels of government. There are several reasons for this. First, engagement between subnational actors and line ministries other than VARAM tends to be conducted on an *ad hoc* basis (OECD, 2025^[22]). Many of the policy or funding decisions that most directly shape regional development outcomes, whether in transport, health, education or economic development, sit with line ministries whose contact with planning regions and associations is intermittent rather than systematic (OECD, 2025^[22]). This limits the ability of subnational actors to communicate and discuss regional or local development challenges and priorities with the line ministry (or ministries) responsible for developing policies and programmes that could help meet these challenges.

An additional challenge relates to the voice of subnational associations in national-level regional development discussions. This subnational voice is diluted across multiple associations representing partly overlapping constituencies. LALRG's (40-strong) membership includes nearly all of Latvia's municipal governments. Alongside it, three smaller associations provide more targeted advocacy: the LALC comprises Latvia's ten state cities, the LARDC composed of around twenty mid-sized municipalities designated as regional development centres, while nine Riga agglomeration municipalities are represented by Riga Metropole (LALRG, 2026^[24]; LLPA, 2026^[25]; RACA, 2026^[26]; Riga Metropole, 2026^[27]). Many municipalities hold multiple memberships – for example, all ten state cities belong to both LALRG and LALC (LALRG, 2026^[24]). The practical effect is a landscape with uneven, and competitive, subnational representation at the national level. State cities and regional development centres benefit from both a big-tent voice through LALRG and dedicated, specialised advocacy through LALC or LARDC. By contrast, a number of smaller rural municipalities, many of which face the most acute demographic and fiscal pressures, have no equivalent specialised channel of their own. At the same time, the parallel operation of three associations with partly overlapping memberships can result in advocacy positions that may not always align. This places an additional burden on national government actors, who must reconcile multiple, sometimes conflicting, subnational voices on the same issue, each conveyed through a separate channel (OECD, 2026^[3]). Combined with the intermittent engagement of line ministries with the associations, as described above, these challenges suggest that improvements can be made to ensure that vertical co-ordination mechanisms more effectively support place-based regional development in Latvia.

Expanding channels for multi-level dialogue and consolidating subnational voice

Policymakers could consider ways to ensure a more effective multi-level co-ordination between different levels of government on regional development issues. This can help line ministries to take better account of the distinctive needs, assets and priorities of Latvia's different territories when making decisions that shape their development. It can also enable national actors to more effectively highlight their priorities and work with the subnational level on how to meet these priorities based on their regional needs and capacities.

To strengthen vertical co-ordination, the national government could consider creating a multi-level co-ordination platform for regional development. Such a platform could take the form of a dialogue forum that brings together high-level political representatives (e.g. ministers or state secretaries) from line ministries whose sectors actively contribute to regional development, as well as representatives from planning regions and local government associations. Participation could be regular or *ad hoc*, based on the agenda and topic(s) for discussion. This could help better ensure that territorial development priorities identified by subnational actors are being systematically considered by different line ministries, reducing the risk of place-blind policy making or policy gaps (i.e. incoherence between subnational needs and national policy initiatives). It would also enable sectoral perspectives on regional development to be shared more systematically with the subnational level.

Furthermore, by convening the three local government associations at the same time, such a forum could help surface points of agreement and divergence on territorial needs with all relevant line ministries present. Where positions converge, this creates conditions for a more unified and influential subnational voice. Where they diverge, it forces those differences to be made explicit and substantively defended and debated. In either case, engaging these actors collectively and clarifying their respective positions would help to ease the burden on line ministries, which currently encounter multiple, sometimes conflicting, subnational voices through separate channels.

Strengthening the evidence base to support inter-municipal co-operation on shared territorial priorities

One of Latvia's main regional development priorities is improving quality of life in all regions, while encouraging settlement in areas outside Riga and its surrounding municipalities. As noted, the ATR is an important reform that has sought to address this priority. By consolidating 119 local governments into 42, it aimed to create municipalities of sufficient scale to sustain public services and deliver larger-scale territorial investments, such as in infrastructure and transport (OECD, 2025^[28]).

In addition to municipal mergers, inter-municipal co-operation is another way to build territorial scale. This can take various forms. For example, municipalities can co-operate to jointly deliver services, pooling administrative functions or address shared local and regional development challenges more widely (e.g. developing roads or public transport systems to support labour productivity) (OECD, 2025^[28]). This matters because although the ATR substantially increased the resources available to individual municipalities, interviews indicated that certain municipalities still sometimes face challenges in delivering parts of their mandates, such as the provision of good-quality healthcare and education services (OECD, 2026^[3]). There is a risk that these service delivery-related challenges could compound over time, given that many municipalities in Latvia are contending with sustained population decline, which can place strain on local budgets while increasing per capita service costs (Central Statistics Bureau, 2025^[29]; OECD, 2026^[30]).

Inter-municipal co-operation could provide an attractive option for municipalities seeking to improve service quality and reliability (OECD, 2026^[3]). It also offers flexibility that municipal mergers do not, since co-operative arrangements can be scaled up, scaled down, or terminated in response to changing service demand and/or financial constraints (OECD, 2026^[19]). This flexibility could be beneficial for supporting

sustained service provision in the context of the demographic pressures that many of Latvia's municipalities (especially rural and border ones) will continue to face (Central Statistics Bureau, 2025^[29]).

Latvia's municipalities have a right to co-operate, and the Local Government Law provides a clear, graduated framework for co-operation (Saeima, 2022^[1]). In addition, Latvia's municipalities can co-operate through a variety of different instruments with varying degrees of formalisation and different legal statuses, including co-operation agreements (*sadarbības līgums*), joint institutions (*kopīgas iestādes*) and joint commissions (*kopīgas komisijas*) (OECD, Forthcoming^[31]). Municipalities have reportedly begun to collectively address shared territorial challenges through inter-municipal co-operation initiatives, in areas such as waste management, where 11 municipalities have a shared service delivery agreement. There is also ad hoc co-operation in areas such as transport, social care, and education (Reinholde, Stučka and Auliciema, 2025^[8]). At the same time, interviews indicated that a majority of municipalities are not involved in any sustained co-operative arrangements (OECD, 2026^[3]).

Expanding the uptake of inter-municipal co-operative arrangements in Latvia may require stronger enabling conditions to effectively assess co-operative needs. Critical among these is the availability of reliable and comparable data on access to and the quality of services being delivered in municipalities. Every three years, the Central Statistics Bureau surveys residents from nine of the ten state cities (i.e. except Riga) regarding their satisfaction with different types of municipal services (Central Statistics Bureau, 2025^[32]). Additionally, certain local governments reportedly collect data on the services they provide on an ad hoc basis (OECD, 2026^[30]).

In general, however, service-related data at the municipal level is limited in Latvia. There is no comparable, granular data that can capture the underlying determinants of municipal service performance, i.e. the quality standards to which services are provided, or the number of residents with timely access to the services they need within a specific geographical catchment area. Comparable, granular data is helpful to identify the sectors or services which could benefit from inter-municipal co-operative arrangements. Just as helpful for policymakers is data on how many such arrangements exist, in which sectors, and the territorial coverage of active arrangements. Currently, there is no systematic collection of information by public actors that tracks these types of arrangements (OECD, 2026^[3]). As a result, it is difficult for municipalities to identify where inter-municipal co-operation is taking place, or pinpoint other municipalities that could share their experience on benefits, challenges and modalities associated with such arrangements.

In order to further build territorial scale through inter-municipal co-operation, the government could begin by taking two steps. First, it could consider boosting standardised and comparable data collection, particularly with respect to the cost, quality and accessibility of municipal services in different territories and it could share the data through a single, unified and publicly accessible data portal. Norway's KOSTRA model provides an example (Box 3.3). Equipped with better information on service access, cost and quality, subnational governments would be better placed to identify where collaborative approaches to service delivery make financial sense.

Box 3.3. Territorial data portals: Norway's KOSTRA model

Norway's KOSTRA (*KOMmune-STat-RApportering*) territorial development portal supports performance measurement and benchmarking at the subnational level. The portal provides regularly updated input and output indicators on subnational public services and finances, integrating data from local government accounts, service statistics and population statistics. It covers a wide range of indicators related to production, service coverage, needs, quality and efficiency, spanning sectors including education, health, social care, transport and technical services. Its user-friendly online platform makes this information easily accessible to a broad range of users, enabling detailed comparisons of subnational government performance across municipalities and over time.

KOSTRA data are widely used by municipalities themselves to assess their own performance, identify areas for improvement and benchmark against comparable authorities. Crucially, by making the performance of individual municipalities as regards, service access and quality, transparent and comparable, KOSTRA creates the kind of shared evidence base that can prompt difficult but necessary conversations about where service delivery models may need to change, for example by exploring new inter-municipal co-operation arrangements.

Source: (OECD, 2026^[33]; OECD, Forthcoming^[31])

Second, the government could encourage planning regions to collect regular information regarding inter-municipal co-operation arrangements on their territories, including which services are being delivered, in which sectors and territories, through what financial arrangements and with the involvement of which actors. A comparable approach is seen in France, where the National Database on Inter-communalities (*Base nationale sur les intercommunalités* – BANATIC) portal provides detailed information on more than 5 000 inter-municipal co-operation arrangements in place nationwide (Government of France, 2025^[34]). Doing so would offer local governments insight into where collaboration is already taking place and in which sectors. This would then help local governments not only identify, engage with and learn from peers with relevant inter-municipal co-operation experience, but also make more informed decisions about whether and how to pursue new or additional co-operative arrangements of their own. More broadly, a stronger evidence base for inter-municipal co-operation would also have a bearing on Latvia's territorial attractiveness, given that the quality, range and accessibility of public services is one factor that can contribute to whether territories are attractive places to live or invest. Better information on service performance and on the co-operative arrangements already in place would equip these municipalities to identify partnerships that can preserve, and in some cases expand, their service offer at a viable scale, including in the face of demographic pressures.

Further strengthening the subnational level of government in Latvia

Delivering on Latvia's regional development ambitions depends, ultimately, on the capacity of the subnational actors tasked with that delivery. Local governments, Latvia's sole subnational administrative tier, and the country's five planning regions can only implement their strategic plans, support economic development, deliver good-quality public services and build regional attractiveness if they have the human, financial and technical resources to do so in practice.

Latvia has a solid baseline in each of these areas, however the OECD evidence also points to specific areas that warrant attention. The sections that follow examine three dimensions of subnational capacity in turn: the fiscal resources available to municipalities to fund their tasks and responsibilities, the share of

public investment that flows through the municipal tier, and the data and skills that underpin effective subnational performance measurement.

Ensuring sufficient financial resource capacity to support regional attractiveness in Latvia

A key question for policymakers is whether subnational governments have sufficient financial resources from which to support regional development and attractiveness initiatives in their territories. In this regard, the OECD evidence on Latvia presents a mixed picture.

On the positive side, municipal government revenue as a share of total public revenue was 25.4% in Latvia, above the OECD local government average of 23.9% (OECD, 2025^[5]). Moreover, Latvian municipal resources are heavily tilted towards taxes (52.2%), tariffs and fees (9.4%), and property income (1%), with grants and subsidies accounted for 36.3% of revenues (OECD, 2025^[5]). By contrast, among OECD local governments on average, taxes, tariffs and fees, and property income account for smaller shares (33.9%, 12.9% and 1.6% respectively)¹ and grants and subsidies make up a majority share of municipal revenues (51.5%). In terms of spending supporting economic development, Latvia's municipalities already allocate an average of 17.6% of their budgets to economic affairs², more than the OECD local governments average (14.2%) (OECD, 2025^[5]).

This notwithstanding, evidence from the *OECD Economic Survey: Latvia 2026* suggests that there may be certain areas where municipalities may need additional fiscal capacity to more effectively support their spending responsibilities. For example, when reviewing inter-governmental transfers to support road maintenance, the OECD report finds that additional funding for roads that has been transferred from the national government to municipalities is based on cost estimates that have not been indexed to inflation, leaving municipalities to absorb the difference from their own resources (OECD, Forthcoming^[35]). The implications for territorial development and attractiveness are significant: local roads connect residents to jobs, students to schools and businesses to markets, and their condition shapes whether a municipality is an attractive place to live, work and invest.

Additional evidence regarding local fiscal capacity needs relates to the allocation of resources through the Local Government Finance Equalisation Fund, Latvia's largest (non-earmarked) grant mechanism. Research from 2023 indicated that in one third of municipalities, the equalisation formula did not fully cover the costs of delivering local government functions to a minimum standard (Congress of Local and Regional Authorities, 2024^[36]). Underlying revenue-raising disparities among municipalities reinforce fiscal capacity concerns. In 2024, OECD data show that the municipality with the highest revenue-raising capacity, Mārupe in the Riga Planning Region, registered approximately 70% higher revenues per capita than the lowest-performing municipality, Augšdaugava in the Latgale Planning Region, even after equalisation and other conditional transfers were taken into account (OECD, 2026^[37]). If left unaddressed, the abovementioned challenges risk undermining balanced territorial development in Latvia. Smaller and less well-resourced municipalities are the least able to absorb funding shortfalls from their own resources, which risks affecting the quality and/or accessibility of public services on those territories as a result, and with it, their territorial attractiveness.

A periodic review of the equalisation formula could offer a useful starting point for ensuring that the allocation of resources through inter-governmental transfers continues to reflect the actual costs of the expanded range of functions allocated to municipalities following the ATR. The current equalisation system has not been amended since 2015, and the President of Latvia has called for a review of the formula's underlying methodology to ensure that municipal needs continue to be met (OECD/UCLG, 2022^[2]; President of Latvia, n.d.^[38]). Issues worth exploring include the low weight currently assigned to territorial size in the formula. Specifically with respect to roads, it would be valuable to consider explicitly incorporating the length of local roads and streets as a cost factor, an approach already adopted in

Lithuania (OECD, 2021^[39]). Additionally, the formula should be revisited on a regular basis, to ensure that it can keep account for future changes in municipal costs. Australia, for example, updates its cost-equalisation methodology annually and conducts a comprehensive review every five years to ensure it accurately captures real cost pressures across its diverse subnational landscape (OECD, 2021^[39]). Such steps can help to further strengthen the ability of all municipal governments to realise their attractiveness potential in a balanced manner.

Bolstering subnational investment capacity to deliver Latvia's territorial attractiveness agenda

Beyond fiscal capacity, OECD evidence also suggests there is room to increase subnational public investment capacity in support of regional development. Latvia's local governments invested an average of 37.8% in economic affairs – higher than the OECD average for local governments alone (31.6%), and slightly more than local governments in Estonia (35.5%) and Lithuania (35.6%). Yet, overall, public investment by local governments in Latvia is lower than their OECD local government counterparts as a share of total public investment – 32.3% compared to 44.2%, respectively (OECD, 2025^[5]). With local governments responsible for delivering substantial parts of Latvia's regional development agenda, from local roads and educational infrastructure to the green transition, a larger share of public investment, driven by local governments could more readily translate national, and subnational, development priorities into viable investment projects on the ground.

One option to build practical investment capacity is to use inter-municipal co-operation to share specialist roles within local administrations, particularly in areas such as strategic planning, project design and project management. Smaller municipalities cannot always justify full-time specialists on a standalone basis, yet such expertise is critical for designing high-quality investment proposals and mobilising EU Cohesion Policy funds and other external funding sources. Pooling these roles among co-operating municipalities can help provide individual local governments with access to expertise they would otherwise struggle to sustain alone. Such co-operation could also generate the possibility for local authorities to co-operate on larger scale projects with greater territorial development impact in their communities.

Further strengthening performance measurement for regional development in Latvia: subnational data availability and planning region capacity

In addition to the financial resources discussed above, subnational actors also need sufficient human and technical capacity to lead the design and implementation of regional development efforts on their territories. While Latvia's local governments form the country's sole subnational administrative tier, with responsibility and resources for delivering public services and investing in their territories, the country has also retained a regional layer to support the co-ordination of territorial action at a larger scale. Latvia is one of six OECD countries to have planning regions (OECD, 2022^[40]). While Latvia's planning regions have no formal administrative powers, they play an important role in supporting the organisation of territorial action at a regional scale. They are substantial contributors to designing, monitoring, and evaluating regional-level strategic and spatial plans, co-ordinating between municipalities and the national government, promoting economic activity in their territories, and mobilising EU funds (Government of Latvia, 2021^[14]; KPMG, 2024^[41]; OECD, 2026^[3]; OECD, 2026^[30]). Planning regions are funded through the state budget, voluntary contributions from municipal budgets, as well as competitively-awarded EU Cohesion Policy funds (Saeima, 2025^[10]; OECD, 2026^[30]).

However, addressing technical and human resource gaps that link to performance measurement, could better enable planning regions to perform their tasks and responsibilities more effectively. In addition, periodically reviewing whether specific inter-governmental transfer arrangements continue to reflect the

actual costs of municipal service delivery, particularly in areas where mandates or responsibilities have evolved over time.

A pre-condition for the ability of subnational governments to achieve their regional development objectives is an effective performance measurement system. Performance measurement, in turn rests on two foundations: the availability and accessibility of good-quality subnational data, and the skills of the staff tasked with using it in their monitoring, evaluating, and reporting tasks. Gaps in either area risk undermining policymakers' ability to assess the effectiveness of policy interventions, learn from what does or does not work, and improve their territorial development performance.

Latvia has already established a strong subnational-level database for measuring performance in regional development. The RAIM.gov.lv online portal and the Data.gov.lv portal consolidate regional-level and municipal-level datasets from a wide range of national-level public bodies into two unified, central hubs (RAIM, 2026^[42]) (Data.gov.lv, 2026^[43]). The former uses data visualisations to create territorial profiles for each Latvian municipality using a select range of data (e.g. focused on local budgets, economic development and entrepreneurship, as well as a limited number of social well-being indicators) (RAIM, 2026^[42]). The latter is a broad subnational data repository covering a wide range of policy areas that are relevant for regional development and attractiveness (e.g. education, population, geospatial data). (Data.gov.lv, 2026^[43]). Together, these portals are an important technical resource that promote subnational data availability and accessibility and can help planning regions track their progress in reaching strategic objectives.

The portals could be further strengthened by incorporating other subnational indicators relevant for measuring territorial development performance, and providing data by planning region or municipality. A number of indicators related to innovation, tourism and cultural amenities, land resilience and climate risk, as well as transport and digital connectivity that could support regional development planning and regional attractiveness initiatives are not broken down by region or municipality (Seunga Ryu et al., 2024^[44]). For example, the lack of subnational data on internet download speeds within a specific territory makes it difficult to assess how digital connectivity varies across regions, and to understand where investment in digital infrastructure could most strengthen regional economic development and attractiveness. Moreover, where regional and local datasets are available, they often lack international comparability, which undermines the ability of policymakers to benchmark whether their territory is an attractive place to live, work or invest compared to other OECD territories (Seunga Ryu et al., 2024^[44]). Closing these gaps would provide both national and subnational policymakers with a strengthened evidence base for identifying where regional attractiveness is strongest, where it is weakest, and where targeted action could make the most difference.

Latvian planning regions have a solid human resource base that enables them to fulfil their strategic planning-related responsibilities. However, there may be scope to further bolster the skills and knowledge of planning region staff to conduct tasks in support of effective monitoring and evaluation, such as selecting appropriate performance measurement indicators (Box 3.4). Doing so could help planning regions better, and more comprehensively, track progress in achieving strategic objectives set out in regional development programmes, as well as national-level territorial development objectives.

Box 3.4. Distinguishing among different types of indicators

An indicator is a measure that can capture different types of information and provides insight for evidence-informed decision making. Indicators are generally divided into four categories:

- **Input indicators** reveal what resources (e.g. people, money and time) are used in what amounts to produce and deliver goods and services.
- **Output indicators** capture the goods and services that activities produce (e.g. number of local civil servants trained, the number of SMEs that received financial support, kilometres of roads built).
- **Outcome indicators** capture the dimension that is expected to change as a result of an intervention (policy, programme or project). Outcome indicators show the real-world changes that practical outputs will produce (e.g. the percentage of people who have improved their situation in the labour market within a certain number of months after their participation in training).
- **Impact indicators** relate to the expected impact of a policy intervention on the economy or society in general. They measure changes in the long term.

In determining what to measure, two factors are particularly important: the objectives of the performance measurement system, and the objectives of the strategy, policy, programme or project.

Source: (OECD, 2009^[45])

A review of Latvia's regional development programmes suggests that while output indicators are commonly included to track progress towards strategic goals, outcome and impact indicators are not included with the same regularity. The Latgale Planning Region Development Programme 2021-2027, for example, outlines 44 measures across four priority areas, each with corresponding output indicators – yet outcome or impact indicators are missing in most cases (OECD, 2025^[46]). Without the latter, Latgale Planning Region can measure whether activities are taking place on its territory, but not the real-world effect of these activities as regards improving regional development and attractiveness.

By contrast, the Kurzeme Planning Region Development Programme 2021-2027, which sets out almost 150 measures across eight priorities, includes outcome and impact indicators for many of its measures (Kurzeme Planning Region, 2021^[47]). Even so, gaps remain in certain areas, including housing, social services, and climate resilience. The line of action on climate adaptation and crisis response illustrates this: indicators capture infrastructure delivery (e.g. the number of kilometres of coastal protection established) rather than outcomes (i.e. the share of the population living in flood-prone areas, or the share of critical infrastructure assessed as resilient to flooding risks) (Kurzeme Planning Region, 2021^[47]). Even where relevant data exist, the indicators selected to track progress towards objectives are not always the most appropriate ones for assessing outcome or impact. Strengthening the ability of planning regions to identify appropriate performance targets would help policymakers better understand whether their actions are leading to desired results, or whether programming changes may be necessary to more effectively support efforts to make Latvia's regions more attractive places to live, work, and invest.

Addressing subnational data gaps and capacity-building needs

To further strengthen performance measurement practices for regional development in Latvia, policymakers could consider the following. First, further improve the availability of subnational data for territorial development, by enhancing the RAIM portal. One option is to integrate the OECD regional

attractiveness compasses – and the full set of their underlying data – from the OECD regional attractiveness framework, developed for all Latvian municipalities and planning regions. This would have several benefits. For instance, it would improve regional- and local-level data coverage in areas where Latvian subnational datasets are currently lacking. For example, while high-quality digital infrastructure, such as high-speed internet, has been shown to be instrumental for attracting talent and investors (OECD, 2023^[48]), this information is not available through existing government data portals. The OECD regional attractiveness framework includes it at both regional and local levels, including for Latvia. Moreover, as OECD regional attractiveness data are internationally comparable, it would also enable subnational governments to benchmark their territorial performance against each other and also against national and EU peers, a practice which is currently limited. Additionally, it would provide a richer evidence base with which to monitor progress towards the achievement of Latvia's strategic objectives for regional development.

Second, the Central Statistical Bureau (CSB) could consider adopting a partnership-based approach to working with planning regions and municipalities to identify and address subnational-level data gaps. While integrating the OECD regional attractiveness data into RAIM will further bolster subnational-level data availability and accessibility in the short term, the data needs of subnational governments will continue to evolve as new policy priorities emerge. A partnership-based approach, whereby the CSB convenes periodic meetings with planning regions and local government associations to identify collective subnational data needs and uses the findings from these meetings to inform the development of new territorially disaggregated datasets, would help ensure that data availability at the territorial level keeps pace with evolving needs over time. The United Kingdom's ONS Local service provides a useful illustration of how such an approach can work in practice (Box 3.5).

Box 3.5. ONS Local: a partnership model for identifying and filling subnational-level data gaps

The UK Office for National Statistics (ONS) established ONS Local in 2023 as an analytical advisory service for local leaders. With dedicated analysts based across all nine English regions and liaison officers in Scotland, Wales and Northern Ireland, the service helps subnational governments access and use national data, and identifies subnational data gaps that the national statistical system can then work to fill.

Regarding the latter element, ONS Local works in two complementary ways. First, at the request of individual or groups of local authorities, combined authorities and devolved administrations, it produces 'one-off statistical analyses. Recent examples include analyses of broadband connectivity for the County of Oxfordshire and economic inactivity by reason for the East Midlands Combined County Authority. Second, ONS Local feeds data gaps identified through this engagement into the wider ONS workplan, where their relevance for regional development extends beyond a single or small number of territories. This ensures that demand from subnational government shapes the development of new statistical outputs over time.

Source: (ONS Local, 2026^[49])

To further strengthen human resource capacity to conduct performance measurement exercises, moreover, it could be considered to expand the capacity building support provided to planning regions (OECD, 2026^[30]). More broadly, in order to improve understanding of where different planning regions' future capacity-building needs may lie, it is important to assess their current performance in meeting their tasks and responsibilities, including how efficiently and effectively they deploy available resources to meet territorial needs. While regular information is collected on the capacity-building needs of planning regions,

and training programmes are already provided, the evidence reviewed for this report suggests that planning regions may benefit from targeted support in specific areas that have not yet been fully addressed, such as identifying appropriate performance targets (OECD, 2026^[30]). In addition to monitoring and evaluation, separate research has suggested that other areas where planning regions might also benefit from additional capacity-building support include investment planning and investment promotion, cost-benefit analyses of EU-funded projects, and navigating State aid regulations, among other needs (KPMG, 2024^[50]).

It should be ensured that any diagnostic survey or capacity assessment of planning regions considers performance indicator design, alongside any other potential gaps identified through ongoing dialogue with planning regions themselves. Where gaps are identified, targeted, multi-year training programmes or other capacity-building initiatives could be developed in partnership with relevant providers (including the Latvian School of Public Administration, LIAA, and academic institutions) and designed around clearly defined learning outcomes.

Conclusion

Latvia has the foundations in place for an effective multi-level governance system to support place-based regional development. The legislative and strategic frameworks set out clear responsibilities across and among levels of government and embeds the co-ordination of regional development policy as a guiding principle. The 2021 Administrative-Territorial Reform has produced larger and more financially viable local governments, and the country's five planning regions provide a layer of co-ordination at a scale that exceeds individual municipal boundaries.

As this chapter has argued, however, the ATR is one building block among several to support balanced territorial development. Realising the underlying ambitions of the reform, making Latvia's regions more attractive places to live, work and invest, also depends on strengthening co-ordination arrangements for regional development and building the evidence base to support inter-municipal co-operation. Additionally, it depends on addressing subnational data gaps, while identifying and providing targeted capacity-building support to planning regions to aid the achievement of their strategic plans based on evidence collected on the evaluation of their current strengths and gaps in delivering their core functions. In each of these areas, building on the strong foundations already in place, the chapter has identified opportunities for further refinement.

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Notes

¹ The abovementioned data excluded a fifth revenue-raising category, social contributions, which in 2023 constituted 1.2% of local public revenues in Latvia, and 0.9% of local public revenues across the OECD on average.

² Economic affairs is the COFOG classification most closely associated with general economic development.

Annex 3.A. Indicators used to develop the attractiveness framework for Latvia

Indicator descriptions and data sources

For each indicator, the Annex Table 3.A.1 reports a definition, identifies the primary data sources for Latvia and for EU-level comparison, and specifies the reference year.

Annex Table 3.A.1. Indicator descriptions and data sources

Legend:

1. OECD's LDP refers to the [OECD Local Data Portal](#).
2. OECD refers to the [OECD Data Explorer](#).
3. GISCO refers to the Geographic Information System of the EU Commission, [GISCO - Eurostat](#).
4. Sources in the Latvian datasets are represented by "LV{Code}," where *Code* corresponds to the table code in the [Oficiālās statistikas portāls](#).
5. OSM is the acronym for [OpenStreetMap](#), mapping platform that provides freely accessible geospatial information.

Dimension	Indicator	Description	Source in Latvia	Year (Latvia)	Source in EU	Year (EU)
Economy	GDP per capita (in \$, constant PPP)	Total value of all goods and services produced within a economy (GDP), adjusted for purchasing power parity (PPP) and expressed per capita.	LV IKR060	2023	OECD	2023 or LY
	GVA per capita (in \$, constant PPP)	Gross Value Added (GVA) per capita, measures economic output per resident and serves as a proxy for productivity.	LV IKR060	2023	OECD	2023 or LY
	Economic diversification	Measures how diversified employment is across economic sectors using the inverse Herfindahl–Hirschman index.	OECD	2022	OECD	2022
Innovation and Entrepreneurship	Enterprise creation rate (%)	Average of consecutive year-on-year growth rates in the number of enterprises over the most recent three years available.	LV UZS031	2024	Eurostat	2020
Labour market	Unemployment rate (in %, 15 and over)	Number of unemployed as a percentage of the labour force aged 15 and over.	LV EKA140	2024	OECD	2024 or LY
	Youth unemployment rate (in %, 15-24 years old)	Number of unemployed as a percentage of the labour force aged 15–24.	LV EKA140	2024	OECD	2024 or LY
	Employment rate (in %, 15 and over)	Number of employed as a percentage of the working age population, aged 15 and over.	LV EKA140	2024	OECD	2024 or LY
Tourism	Share of overnight stays by foreign tourists (hotels; vacation and other short-term accommodation; camping, parks) (%)	Proportion of total overnight stays in tourist accommodation accounted for by non-resident visitors.	LV TUV051	2025	Eurostat	2024
	Number of overnight stays in tourist accommodation	Total number of overnight stays relative to the resident population.	LV TUV051	2025	Eurostat	2024

	per 1000 inhabitants					
	Number of tourism information centers per 1,000 inhabitants	Infrastructure providing tourist information to visitors about a specific attraction or place of interest.	OSM	2026	OSM	2026
Cultural capital	Number of museums and galleries per 1,000 inhabitants	Access to museums and art galleries relative to population size. The source defines museums as institution which normally have public exhibitions on scientific, historical, cultural topics, etc. Galleries are defined as areas or buildings that displays a variety of visual art exhibitions.	OSM	2026	OSM	2026
	Number of theatres per 1,000 inhabitants	Access to theatres relative to population size. The source defines theatres as places where live performances occur, such as plays, musicals and formal concerts.	OSM	2026	OSM	2026
	Enterprise creation rate in art, entertainment and recreation sector	Average of consecutive year-on-year growth rates in the number of enterprises in the art, entertainment, and recreation sector, identified according to the NACE classification, over the most recent three years available.	LV UZS031	2024	Eurostat	2020
Land	Share of built-up area exposed to river flooding, 100-year return period	Percentage of built-up area exposed to river flooding with a 100-year return period.	OECD's LDP	2020	OECD	2020
	Land burned as a share of total land	Extent of land affected by fires relative to the total local area.	OECD's LDP	2023	OECD	2023
	Percentage change in land soil moisture (0-7 cm depth layer) compared to the reference period 1981-2010	Percentage change in surface soil moisture (0–7 cm depth) relative to the historical reference period 1981–2010, highlighting deviations from long-term average moisture conditions.	OECD's LDP	2024	OECD	2023
Housing	House price index (Base 100 = 2021)	Changes in residential property prices relative to the base year 2021.	LV TSZ030	2024	OECD	2024
	Percentage increase of house price index from previous year	Year-on-year growth in house price index. The last 2 periods of available information are averaged to avoid outliers.	LV TSZ030	2023-2024	OECD	2023-2024
Social cohesion	Number of community centres per 1,000 inhabitants	Access to community centres relative to population size. The source defines community centres as public locations where members of a community tend to gather for group activities, social support, informal and formal meetings, public information, events and festivities, and other purposes.	OSM	2026	OSM	2026
	Voter turnout in general elections	Share of eligible voters who participated in general elections.	CVK	2022	OECD	2022 or LY
Education	Travel time to nearest school (mins)	Average travel time to the nearest primary school. The computation averages the travel time for every 1 km ² grid cell in the territory, weighted by the population living in each area.	GISCO	2023	GISCO	2023
	Percentage of population with tertiary educational attainment	Share of adults who have completed higher education.	LV IZT041	2024	OECD	2024
Health	Air pollution (PM 2.5 average level in µg/m ³ experienced by the population)	Average level of fine particulate air pollution (PM2.5) to which the population is exposed, expressed in µg/m ³ .	OECD's LDP	2023	OECD	2023
	Travel time to nearest healthcare service (mins)	Average travel time to the nearest hospital. The computation averages the	GISCO	2023	GISCO	2023

		travel time for every 1 km ² grid cell in the territory, weighted by the population living in each area.				
Digitalisation	Average download speed from a fixed device (Mbps)	Average broadband download speed (in Mbps) experienced by users on fixed connections.	Ookla	2023	Ookla	2023
Transportation	Share of paved roads	Proportion of the road network that is paved.	OSM	2026	OSM	2026
	Road density (in km per km squared)	Extent of road infrastructure (km) relative to land area (km ²).	OSM	2026	OSM	2026
	Cycleway density (in km per km squared)	Availability of cycling infrastructure (km) relative to land area (km ²).	OSM	2026	OSM	2026
	Share of electric vehicles in total road motor vehicles fleet	Share of electric vehicles in the local road motor vehicles fleet	LV TRC011 TRC012	2025	OECD	2024 or LY
Environment	Share of renewables in electricity generation (%)	Contribution of renewable energy sources to total electricity production, expressed as the share of renewables in total local electricity generation	LV ENB210	2024	OECD	2024 or LY
	Additional cooling degree days, compared to 1981-2010	The sum of the differences between the daily mean temperature and a reference temperature of 22 °C for all days when the mean temperature exceeds 22 °C. This indicator therefore quantifies how hot a given period was compared to the reference period 1981–2010	OECD's LDP	2024	OECD	2023
Natural capital	Evolution of tree cover area 2004-2019 (%)	Long-term percentage change in forest and tree cover, comparing tree cover area over the period 2004–2019	OECD's LDP	2023	OECD	2020
	Tree cover rate (%)	Share of land area covered by trees	OECD's LDP	2021	OECD	2020
	Share of protected areas (%)	Proportion of land designated for environmental protection	OECD's LDP	2023	OECD	2024

Adopting the OECD Regional Attractiveness Approach to Enhance the Capacity of Local and Regional Governments in Latvia

Latvia's regions and municipalities face persistent disparities in economic performance, connectivity, and access to services - yet many possess significant untapped assets in natural capital, cultural amenities, and entrepreneurship. This report supports Latvia in translating those assets into more balanced and sustainable territorial development, by providing two interconnected contributions. First, it introduces the OECD Regional Attractiveness framework, applied at the municipal level for the first time in any OECD country, as a practical tool for subnational governments to diagnose territorial strengths and constraints, identify opportunities for co-operation, and monitor progress against regional development objectives. Five concrete use cases demonstrate how multidimensional, internationally comparable indicators can strengthen evidence-based policymaking across the full regional development cycle - from strategy design and investment programming to monitoring and evaluation. Second, it examines Latvia's multi-level governance framework, identifying the co-ordination, financing, and capacity gaps that currently limit the ability of planning regions and municipalities to fulfil their mandates. Together, the two analyses point toward a more integrated approach to regional development - one in which stronger governance frameworks, better-resourced subnational institutions, and systematic use of multidimensional territorial data reinforce each other in support of more attractive, competitive, and resilient Latvian regions.



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